



Organizational Capacity Assessment (OCA) Facilitator's Guide Version With NUPAS Items¹

Revised: July 27, 2015

¹ Separate versions of the OCA are available with and without the NUPAS-related items and additional guiding questions for facilitators.

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★ OCA sub-sections that correspond to NUPAS items. See instructions on the cover sheet below.

Cover Sheet

Name of Organization: _____

Dates of the Most Recent NUPAS _____

Dates of This OCA: _____

Number of Previous OCAs _____

Dates of Previous OCAs _____

★ OCA sub-sections that correspond to NUPAS items. For organizations that have NUPAS scores, these starred sub-sections do not need to be revisited in the first OCA if no significant changes have occurred since the NUPAS (the NUPAS scores can be used instead). However, these starred sub-sections are not identical to the corresponding NUPAS items, so it may still be useful to include these starred sub-sections in an initial OCA even if no significant changes have occurred. If the organization has addressed any Special Award Conditions or more than a year has passed since the NUPAS, then it will likely be useful to include the starred sub-sections to identify any changes in capacity and any new priority action items. Before deciding to omit the NUPAS-related items in the first OCA, an organization should consider whether additional discussion of issues raised in the NUPAS would be useful for the capacity development action plan. Because USAID does not generally require grantees with fixed obligation grants (FOGs) to have a pre-award survey, the NUPAS-related items would normally be included in a FOG recipient's first OCA.

● OCA items not included in the NUPAS

Composition of the Teams: The OCA can either be conducted with a single set of participants for all sections or different participants for the various sections. The first page of every section lists suggestions for important participants with relevant functions for that set of items. Relying on a single set of participants can increase communications and learning across organizational divisions. However, if separate teams work on different sections simultaneously, the OCA can be done more quickly and with less total staff time.

Identifying which Guiding Questions to use: Start with a discussion around the broader points in the section and sub-section objectives. Skip any specific guiding questions that are not relevant for the organization or have already been covered in the general discussion. Facilitators should use their judgment in deciding what questions are needed to enable the organization to make a sound self-assessment and support action planning. Facilitator's guide questions should be woven skillfully into a conversation; they should not be read aloud verbatim. Facilitators will need to be very familiar with the tool to do this effectively.

Scoring: To encourage conclusive decisions, facilitators should inform participants that an organization should meet all of the criteria for a particular score. However, facilitators should not argue if the participants feel that a different score better reflects the capacity of the organization. The OCA scores are less important than the process of discussing the organization's strengths and weaknesses, action planning, and relationship building. Remind participants that the scores are used to set priorities for action planning; they are not the ultimate purpose of the exercise. It is helpful to fill in the notes section with explanations, justifications, and/or examples so the organization will remember why they chose that score.

Action Plan: The action plan is the most important output from the OCA. It is best to work on the action plan for each sub-section right after the scoring has been done for that sub-section. After the initial action plan has been completed, senior managers should review and consider revising the relative priorities for the various items.

1. Governance and Legal Structure

Section Objectives: Review the organization's vision and mission statements, legal registration and compliance, organizational structure, board composition and responsibility, and succession planning

Important Participants: Chief executive (director), board chair or representative*, senior managers, legal counsel for the organization (in-house or external), chief financial officer

** Inviting board members may not be appropriate for some organizations; confirm with the organization first*

Names and Positions of Participants from the Organization: _____

Names and Positions of External Facilitators: _____

1.1 Vision and Mission

Subsection Objectives: Assess the clarity of the organization's statements of its purpose and values and how they have been shared and applied

Resources: Vision statement; mission statement; and board, senior manager, and staff questionnaires or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
1.1 Vision and Mission 	Vision and mission statements are • Not written • Written, but not clear and specific • Written, but no longer relevant to the organization's current purpose or aspirations • Not considered in decisions on priorities and actions • Not included in staff orientation and public communication materials	Vision and mission statements are written, but • Vague and general • Partly relevant to organization's current purpose or aspirations • Not usually considered in decisions on priorities and actions • Not usually included in staff orientation and public communication materials	Vision and mission statements are written and • Reasonably clear and specific • Relevant to the organization's current purpose or aspirations, but may need some updating • Usually considered in decisions on priorities and actions • Included in staff orientation and public communication materials	Vision and mission statements are written and • Clear and specific • Relevant to the organization's current purpose or aspirations • Consistently considered in decisions on and actions • Included in staff orientation and public communication materials

Vision and Mission	Notes
1. Describe the organization's vision and mission.	
2. Are the current vision and mission statements written? If so, are they periodically reviewed? When were they last changed?	
3. To what extent do staff feel the vision and mission remain relevant?	
4. How are the vision and mission statements included in staff orientation?	
5. How are the vision and mission statements included in public communication materials?	
6. Are the vision and mission statements consistently used to guide priorities and actions?	

1.2 Legal Requirements and Status ★

Subsection Objectives: Determine the organization's legal registration and compliance with national and local laws

Resources: Registration documents, permits, and approvals; charter, constitution, articles of incorporation, and by-laws; relevant major laws and regulations (tax, labor, occupational health and safety, and environment); senior manager questionnaires or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
1.2 Legal Requirements and Status ★ (NUPAS 1.2)	The organization has • Not legally registered or has an expired registration • No charter, constitution, or by-laws • Inadequate knowledge or unaware of all permits or licenses required for operation or has not applied for them • Inadequate knowledge of its obligations under required licenses and permits • Inadequate knowledge of national and local tax, labor, occupational health and safety, environmental, and other laws • Not achieved compliance with these laws and is not taking corrective actions • Pending legal actions or ownership changes may jeopardize operations	The organization has • Applied for legal status, but is not yet legally recognized • A charter, constitution, or by-laws, but they are incomplete or out of date. • Applied for, but not yet obtained, all permits or licenses required for operation • Partial knowledge of national and local tax, labor, occupational health and safety, environmental, or other laws • Not achieved compliance with these laws, but has begun taking corrective actions to comply with some laws • Pending legal actions or ownership changes may have significant adverse effects on operations	The organization has • Legally registered and obtained all required permits and licenses • A charter, constitution, or by-laws that are appropriate, but may need some updating • Adequate awareness of its obligations under its licenses and permits • Adequate awareness of national and local tax, labor, occupational health and safety, environmental, and other laws • Achieved substantial compliance with these laws or has corrective actions underway for full compliance • Pending legal actions or ownership changes are unlikely to have significant adverse effects on operations	The organization has • Legally registered and is in fully compliance with all required permits and licenses • A charter, constitution, or by-laws that are updated as needed • Good awareness of its obligations under its licenses and permits • Good awareness of national and local tax, labor, occupational health and safety, environmental, and other laws • Achieved full compliance with these laws • Pending legal actions or ownership changes are unlikely to have a significant adverse effects on operations

Legal Requirements and Status	Notes
1. Is the organization legally registered? What legal registration does the organization have? When was it registered? When does the registration expire? Are there any risks to renewal of the registration?	
2. Does the organization have a charter, constitution, and/or by-laws? Have the by-laws or constitution been revised within the past three years? If so, what changes were made? Are any other changes under consideration?	
3. Does the organization have all permits, licenses, or certifications required for operation? Is the organization aware of its legal obligations under the permits and licenses? Is it in full compliance with permits and licenses? What additional steps are needed to gain or maintain compliance?	
4. Is the organization aware of national and local tax, labor, occupational health and safety, and environmental laws? Is it in full compliance?	
5. Are there any pending legal actions against the organization that could have adverse effects on operations?	

For membership organizations only:

1. Is the organization open to new members? What are the eligibility requirements?	
2. What are the initial and annual membership fees for joining?	
3. How many fully paid members does the organization have? How many members are not fully paid?	
4. What is the gender composition of the members?	
5. How has the number of members changed over the past three years?	

For businesses only:

1. Are there any pending changes in ownership?	
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1.3 Organizational Structure ★

Objectives: Assess whether the organizational structure is appropriate

Subsection Resources: Organization chart (organogram) or description of the staffing pattern; senior manager and staff questionnaires or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
1.3 Organizational Structure ★ (NUPAS 1.3)	The organizational structure is • Informal or undocumented • Documented, but not followed • Based on inadequately defined departmental or functional responsibilities and lines of authority	The organizational structure is • Documented, but incomplete or out of date • Not usually followed • Based on partially clear roles and responsibilities of departments or functions and lines of authority	The organizational structure is • Documented and adequate, but may require some updating • Usually followed • Based on reasonably clear roles and responsibilities of departments or functions and lines of authority	The organizational structure is • Documented, good and updated as needed • Consistently followed • Based on well-defined roles and responsibilities of departments or functions and lines of authority

Organizational Structure	Notes
1. Is there a documented organizational chart or structure? Is the organizational structure appropriate for current programs? Does it support clear direction for staff?	
2. Is the organizational structure updated as needed? When was it last revised?	
3. Are departmental or functional responsibilities and lines of authority clear and appropriate?	

1.4 Board Composition and Responsibility ★

Objectives: Assess the board's composition, terms of reference, procedures and oversight

Subsection Resources: Board membership list; resumes or biographical descriptions of board members, description of board responsibilities, minutes of board meetings from the last three years, board and senior manager questionnaires or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
1.4 Board Composition and Responsibility ★ (NUPAS 1.5)	An external board has • Not been established or is not functional • Little or no independence from management • No regular meetings • No term limits • No process for electing or appointing and removing members and officers • No written terms of reference or does not understand its functions • No written ethics policy or policy is not enforced • Only an advisory role • Limited effectiveness in setting strategies, oversight of finance and administration, and programs Most board members have weak experience, skills, or contacts Board members do not receive appropriate training	The external board has • Members drawn from a narrow group • Limited independence from management • Regular meetings less than twice a year • Meetings that are not well attended • Ineffective or poorly documented meetings • A weak written terms of reference or limited understanding of its functions • Term limits that are not defined or reasonable • No process for electing or appointing and removing members and officers • A written ethics policy that is weak or not well enforced • Limited effectiveness in setting strategies, oversight of finance and administration, and programs Most board members have fair experience, skills, or contacts Board members rarely receive appropriate training	The external board has • Members drawn from a reasonably broad spectrum • Moderate independence from management • Regular meetings at least twice a year • Meetings that consistently have a quorum • Reasonably effective and adequately documented meetings • An adequate written terms of reference and understanding of its functions • Reasonable, defined term limits • A process for electing or appointing and removing members and officers • A written ethics policy that is adequate and enforced • Reasonable effectiveness in setting strategies, oversight of finance and administration, and programs Most board members have good experience, skills, and contacts Board members receive adequate training	The external board has • Members drawn from a broad spectrum • Good independence from management • Regular meetings at least three times a year • Meetings attended by all or nearly all members • Effective and well documented meetings • A good written terms of reference and understanding of its functions • Reasonable, defined term limits • Open and transparent procedures for electing or appointing and removing members and officers • A written ethics policy that is good and well enforced • Good effectiveness in setting strategies, oversight of finance and administration, and programs All board members have good experience, skills, and contacts Board members receive good training

Board Composition and Responsibility	Notes
1. Does the organization have an external board of directors that is independent of management (e.g., no family or close personal relationships)? An external advisory board? What are the functions of the board?	
2. What is the full size of the board? How many board members have joined within the past year? Are board members drawn from a broad spectrum (gender, ethnic, religious, and age)? Are board appointments and terms transparent and appropriate?	
3. Are board meetings scheduled at regular intervals? How frequently?	
4. Do most board members attend the meetings? Are the meetings documented?	
5. How effective is the board at: • Setting management roles? • Providing guidance and setting strategies and policies? • Leveraging resources? • Providing oversight of programs?	
6. Has the board received relevant training? Does it need additional training or support?	
7. Does the board have a written ethics policy that is effectively enforced?	

1.5 Succession Planning

Subsection Objectives: Assess the organization's ability to continue smooth operations and program management in the event of a loss or change in leadership.

Resources: Job descriptions of senior managers, succession plan, organization chart or description of the staffing pattern, board and senior manager questionnaires or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
1.5 Succession Planning 	The organization has • Very high dependence on its current leader • High risk of closing or functioning poorly in the absence of the current leader • No succession plan for a leadership transition or coping with extreme events	The organization has • High dependence on its current leader • Ability to survive without the current leader, but at reduced scale, efficiency, and effectiveness • No written succession plan or a weak plan for a leadership transition or coping with extreme events • Other current managers who could not take over effectively from the current leader	The organization has • Moderate dependence on the current leader • Ability to continue existing activities without the current leader, but growth might suffer significantly • An adequate written succession plan exists for a leadership transition or coping with extreme events • Other current managers who could take over effectively from the current leader, but with some transitional problems	The organization has • Low dependence on the current leader • Ability to continue existing activities and grow at the same rate without the current leader • A good succession plan exists for a leadership transition or coping with extreme events • Other current managers who could take over effectively from the current leader without major transitional problems

Succession Planning	Notes
1. Could the organization continue existing activities without the current leader? Would it be able to continue to thrive without the current leader?	
2. Is there a clear succession plan for the leader?	
3. Could other current managers take on the leadership role without major transitional problems?	
4. Are changes in the leadership expected over the next two years?	

2. Financial Management and Internal Control Systems

Section Objectives: Review the financial management systems, financial controls, financial documentation, financial statements and financial reporting, audit experience, and cost sharing capacity

Important Participants: Chief executive (director), board chair or representative, chief financial officer, accountant, financial staff, and external auditor

Recommendation: Many of the facilitator's questions in section 2 are addressed in advance of the detailed discussion by reviewing the organization's financial policies and procedures manual and documentation.

Names and Positions of Participants from the Organization: _____

Names and Positions of External Facilitators: _____

2.1 Budgeting

Subsection Objectives: Assess the ability to budget and plan financial resources

Resources: Annual and multi-year budgets, financial policies and procedures manuals, financial monitoring tools, revenue and expenditure reports, and financial staff questionnaires or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
2.1 Budgeting	1	2	3	4
	- There is no master budget, just project budgets - Core cost budgeting is inadequate - Annual master budgets are not well documented or realistic - The budget process does not include program and financial staff and is not transparent - Project budgets are not realistic, clear, and well documented - Indirect costs are not calculated or are based on inadequate methods or data - Non-budgeted expenses are extensive and not approved by senior managers or donors as required - Multi-year revenue and expenditure projections are not done - Revenues and expenditures are not monitored against budgets	- Annual master budgets are separate from project budgets, but not well documented - Core cost budgeting is adequate, but not aligned with a strategic plan - The budget process uses input from program and financial staff, but is not inclusive and transparent - Project budgets are realistic, clear, and well documented only with external assistance - Indirect costs are calculated with external assistance or are based on weak methods or data - Non budgeted expenses are frequent, approved by senior managers, but not usually approved by donors as required - Multi-year revenue and expenditure projections are weak - Revenues and expenditures are monitored against budgets quarterly	- Annual master budgets are separate from project budgets, and adequately documented - Core cost budgeting is adequate and aligned with a strategic plan - The budget process is inclusive and partly transparent - Project budgets are reasonably realistic, clear, and documented without significant external assistance - Indirect costs are calculated without external assistance and based on adequate methods and data - Non-budgeted expenses are occasional, approved by senior managers, and usually approved by donors as required - Multi-year revenue and expenditure projections are adequate - Revenues and expenditures are monitored against budgets monthly	- Annual master budgets are separate from project budgets and well documented - Core cost budget is good and aligned with a strategic plan - The budget process is inclusive and transparent - Project budgets are realistic, clear, and well documented without external assistance - Indirect costs are calculated without external assistance and based on good methods and data - Non-budgeted expenses are infrequent, approved by senior managers, and consistently approved by donors as required - Multi-year revenue and expenditure projections are reasonably accurate - Revenues and expenditures are monitored against budgets monthly

Budgeting	Notes
1. Is there a comprehensive annual master budget, rather than just individual project budgets?	
2. If there is no annual master budget, is there a core cost budget for administrative costs? How does the organization budget and plan for core costs?	
3. Is the core cost budget aligned with a strategic plan (business plan)?	
4. If there is a master budget, is it realistic and well documented?	
5. Does the budget process involve program and financial staff in a participatory and transparent manner?	
6. Are project budgets realistic, clear, and well documented without external assistance?	
7. Can the organization calculate an indirect cost rate for projects that meets donor requirements without external assistance?	
8. Are multi-year projections of the organization's revenues and expenditures produced annually?	
9. Are non-budgeted expenses approved by senior managers along with resulting re-allocations within or across budget lines?	
10. Are required donor approvals consistently obtained for budget changes?	
11. Are revenue and expenditure reports reviewed against project and master budgets? How often?	

2.2 Accounting System ★

Subsection Objectives: Assess the ability to record and report revenues and expenditures in an accurate and timely manner

Resources: Financial policies and procedures manuals, financial monitoring tools, accounting journals, chart of accounts, general ledger, revenue and expenditure reports, and financial staff questionnaires or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
2.2 Accounting System ★ (NUPAS 2.2)	The accounting system is - Not using double-entry accounting or it is not reliable - Not based on a standard chart of accounts that corresponds to the general ledger - Manual - Cash based - Not attributing transactions to projects nor comparing them to budget ceilings - Not tracking unallowable expenses, advances, sales taxes, foreign currency conversions, and sub-grants The organization has a bookkeeper, but no accountant	The accounting system is - Using double-entry accounting, but it is not completely reliable - Based on a standard chart of accounts that corresponds to the general ledger - Manual or computerized - Cash based - Attributing financial transactions to projects, but not comparing them to budget ceilings - Not adequately tracking unallowable expenses, advances, sales taxes, foreign currency conversions, and sub-grants - Not properly recording some payments and receipts The organization has a partly qualified accountant who reports to the board or a qualified accountant who reports to the chief executive	The accounting system is - Using double-entry accounting that is reliable, but may need some updating to meet current legal and donor requirements - Based on a standard chart of accounts that corresponds to the general ledger - Computerized - Cash or accruals based - Attributing financial transactions to projects and comparing them to budget ceilings - Tracking unallowable expenses, advances, sales taxes, foreign currency conversions, and sub-grants - Properly recording all transactions The organization has a qualified accountant who reports to the board, but may need some training	The accounting system is - Using double-entry accounting that is reliable and meets current legal and donor requirements - Based on a standard chart of accounts that corresponds to the general ledger - Computerized - Cash or accruals based or a hybrid - Attributing financial transactions to projects and comparing them to budget ceilings - Tracking unallowable expenses, advances, sales taxes, foreign currency conversions, and sub-grants - Properly recording all transactions The organization has a qualified accountant who reports to the board and regularly updates skills
Accounting System			Notes	

1. Does the organization have a reliable double-entry accounting system?	
2. Is accounting based on cash, accruals, or a hybrid system?	
3. Is the accounting system computerized? If so, what software is used? If not, describe the manual system.	
4. Is there a standard chart of accounts for income and expenses, assets, and liabilities that meets current legal and donor requirements and corresponds to the General Ledger? When was it last updated?	
5. Is the accounting system reliable and does it meet current legal and donor requirements?	
6. Is the chart of accounts sufficient for financial management (e.g., does the chart of accounts include codes for each award, contract, and fund? Does it include codes for tracking unallowable expenses, sub-grants, and advances?)?	
7. Are all payments and receipts recorded in the accounting system? How often?	
8. Does the financial system track expenses against each project budget ceiling and obligation?	
9. What is the system for determining exchange rates and recording currency gains and losses?	
10. Are VAT and sales tax expenditures tracked and reimbursed according to donor requirements?	
11. Does the organization have qualified, full-time accountants on staff?	
12. Does the accountant report directly to the board or a board committee?	

2.3 Internal Controls (Checks and Balances and Segregation of Duties) ★

Subsection Objectives: Assess whether there are adequate internal controls to safeguard funds and check the accuracy and reliability of accounting data

Resources: Financial manual, accounting journals, chart of accounts, general ledger, financial statements and annexes, bank records, and financial staff questionnaires or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
2.3 Internal Controls ★ (NUPAS 2.8)	- There is inadequate separation of duties among procurement staff and staff handling revenues - Procedures for managing payments, expenditures, and petty cash are inadequate - Many payments are made in cash - Checks are not secured or do not get signed by at least two authorized people - Checks are pre-signed or made out to "cash" or "bearer" - Field offices have inadequate internal controls - Field office advances are not adequately reconciled and reviewed - The organization does not assess financial risks - An internal or external audit or assessment of internal controls has not been done or has found uncorrected significant weaknesses or deficiencies	- There is weak separation of duties among procurement staff and staff handling revenues - Procedures for managing payments, expenditures, and petty cash are weak - Few payments are made in cash - Checks are secured and signed by at least two authorized people - Checks are not pre-signed or made out to "cash" or "bearer" - Field offices have weak internal controls - Insufficient frequency of reconciling and reviewing field office advances - The organization rarely assesses financial risks - An internal or external audit or assessment has found significant weaknesses or deficiencies in internal controls that have only been partially corrected	- There is adequate separation of duties among procurement staff and staff handling revenues - Procedures for managing payments, expenditures, and petty cash are adequate - Cash payments are not made above petty cash limits - Checks are not pre-signed or made out to "cash" or "bearer" - Checks are secured and signed by at least two authorized people - Field offices have adequate internal controls - Adequate of reconciling and reviewing field office advances - The organization periodically assesses financial risks - An internal or external audit or assessment has found some weaknesses or deficiencies in internal controls that have been fully corrected	- There is good separation of duties among procurement staff and staff handling revenues - Procedures for managing payments, expenditures, and petty cash are good - Cash payments are not made above petty cash limits - Checks are secured and signed by at least two authorized people - Checks are not pre-signed or made out to "cash" or "bearer" - Field offices have good internal controls - Good frequency of reconciling and reviewing field office advances - The organization regularly assesses and mitigates financial risks - An internal or external audit or assessment has found no significant weaknesses or deficiencies in internal controls

Internal Controls	Notes
1. Describe the organization's financial procedures and practices for safeguarding revenues, obligations, and payments	
2. Are financial procedures for internal controls regularly updated? When were they last revised?	
3. Have there been any internal or external audit or assessment findings on internal controls? If so, were there any significant weaknesses or deficiencies? Have weaknesses and deficiencies been fully corrected?	
4. Are different people responsible for approving purchase authorizations, ordering and receipt of goods and services, payments, and recording of transactions?	
5. Are different people responsible for billing, collection, receipt of cash and checks, custody of cash and checks, and recording of transactions?	
6. How does the organization assess financial risks? How often? Who is involved?	
7. Is there a list of signatory authority and authorization limits? Does the organization have a well-documented delegation of authority for financial procedures?	
8. What are the procedures and safeguards for issuing checks?	
9. What are the procedures and safeguards for petty cash? What are the petty cash limits? How often does the organization reconcile petty cash payment vouchers and cash on hand?	
10. Are cash and blank checks secured in a safe location?	
11. Who are the signatories for checks and what are check-signing procedures? - For example, does the organization ever make checks out to "cash" or "bearer"? If so, under what circumstances and in what amounts? - Are blank checks ever pre-signed? Under what circumstances?	
12. <i>If there are field offices:</i> - Are field office finances managed in the same way as the head office? - How often are advances for field office expenses made and reconciled? What are the procedures for field office advances and reconciliation?	
13. Have any problems been experienced with attempted or actual fraud? When? How were the problems detected? How were they handled?	

2.4 Bank Account Management ★

Subsection Objectives: Assess whether bank accounts properly separate donor and project funds and personal funds and bank records are properly reconciled and reviewed

Resources: Financial manual, accounting journals, chart of accounts, general ledger, financial statements and annexes, bank records, and financial staff questionnaires or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
2.4 Bank Account Management ★ (NUPAS 2.1)	- The organization has no bank accounts - All donor funds are co-mingled in a single bank account - Personal funds of board members or managers are kept in the organization's bank accounts - Bank accounts are not reconciled and reviewed by management at least once per month	- Donor funds are in separate bank accounts for each award - Personal funds are not kept in the organization's bank accounts - Bank accounts are usually reconciled and reviewed by management at least once a month	- Donor funds are in separate bank accounts for each award - Personal funds are not kept in the organization's bank accounts - Bank accounts are consistently reconciled and reviewed by management at least once per month	- Donor funds are in separate bank accounts for each award - Personal funds are not kept in the organization's bank accounts - Bank accounts are consistently reconciled and reviewed by management at least once per month

Bank Account Management	Notes
1. How does the organization track funds from different projects?	
2. Does it have one or multiple bank accounts? Are bank accounts in the name of the organization or company or individuals?	
3. Are the bank accounts free of any personal funds of board members, officers, and employees?	
4. How often are bank accounts reconciled? What are the policies and procedures for bank account reconciliation?	

2.5 Financial Documentation (Financial Records and Filing) ★

Subsection Objectives: Assess whether the organization has a routine reporting system for financial information and is able to meet various donors' financial reporting requirements

Resources: Financial reports to government, USAID and other donors; filing system; payment vouchers; petty cash records; and financial staff questionnaires or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
2.5 Financial Documentation ★ (NUPAS 2.9)	Financial documentation policies and procedures are • Not written • Written, but not supported by adequate records or filing • Financial files are not kept or are very incomplete • Accounting entries frequently lack proper documentation • Financial files are not readily available • Financial files are not secure • No staff have been designated to manage financial files • No regular practices for backup and recovery of important documents	Written financial documentation policies and procedures are • Weak and require significant changes • Adequate, but not usually followed • Financial files are kept, but are incomplete • Some accounting entries lack proper documentation • Financial files are readily available • Financial files are secure • Financial files are maintained by designated staff • There may be a large filing backlog • Weak practices for backup and recovery of important documents	Written financial documentation policies and procedures are • Adequate, but may require some updating • Usually supported by adequate records and filing • Financial files are readily available, reasonably complete, and secure • Accounting entries generally have proper documentation • Financial files are maintained by designated staff • There may be a small filing backlog • Adequate practices for backup and recovery of important documents	Written financial documentation policies and procedures are • Good and regularly updated • Consistently supported by good records and filing • A good financial filing system exists and financial files are secure, readily available, and complete • Accounting entries consistently have proper documentation • Financial files are maintained by designated staff • There is no significant filing backlog • Good practices for backup and recovery of important documents

Financial Documentation	Notes
1. Describe the procedures for documentation of financial transactions? When were they last revised? Do they comply with legal and donor requirements?	
2. Does the organization keep supporting documentation for accounting entries (journal vouchers, payment vouchers, receipts, and invoices)? What are the policies on keeping receipts and cashed checks (originals vs. copies and monetary limits)?	
3. Has the organization had any issues in documentation of transactions? Is the filing system effective and secure?	
4. Who is responsible for managing financial files? Is there a filing backlog? If so, how many days?	

2.6 Financial Statements and Reporting ★

Subsection Objectives: Assess the policies, procedures, and practices for generating financial statements that meet the needs of the organization and comply with government and donor financial reporting requirements

Resources: Financial statements, financial staff questionnaires or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
2.6 Financial Statements  (NUPAS 2.11)	- Internal financial statements are not regularly produced - Internal financial statements are inadequate or lack adequate explanatory notes - Managers do not regularly review financial statements - Managers who review financial statements, but rarely take corrective actions based on the review - Financial reports on donor projects are: - not prepared; or - they are prepared, but not accurate, complete, adequately, or timely documented; - only prepared with substantial external assistance; - not produced to donor standards; - not prepared and approved by separate designated staff	- Internal financial statements are produced less than once a quarter - Financial statements are incomplete or insufficiently documented with explanatory notes - Managers do not regularly review financial statements - Managers review financial statements, but rarely take corrective actions based on the review - Financial reports on donor projects are: - mostly accurate, but incomplete; - weakly documented; - not usually timely; - prepared with significant external assistance; - do not meet donor standards without much revision; - prepared by designated staff, but not approved by others	- Internal financial statements are produced at least once a quarter - Financial statements are reasonably complete and reliable, but may need better explanatory notes - Managers usually review financial statements - Managers usually take corrective actions based on reviewed financial statements - Financial reports on donor projects are: - accurate and reasonably complete; - adequately documented; - usually timely; - prepared without external assistance; - meet donor standards with few significant revisions; - prepared and approved by separate designated staff	- Internal financial statements are produced at least once a month - Financial statements are complete, reliable, and well documented with good explanatory notes - Managers consistently review financial statements - Managers consistently take corrective actions based on reviewed financial statements - Financial reports on donor projects are: - accurate and complete; - well documented; - consistently timely; - prepared without external assistance; - meet donor standards with little or no revision; - prepared and approved by separate designated staff

Financial Statements and Reporting	Notes
1. Are financial statements prepared internally or externally? Do financial statements reliably record all revenues, expenses, and administrative or fixed costs?	
2. Does the organization produce income and expenditure (profit and loss) statements, cash flow statements, and balance sheets? How often?	
3. Is the organization in compliance with legal requirements for financial statement reporting?	
4. Does management consistently take appropriate and timely corrective actions after reviewing financial statements? What corrective actions were taken after financial statement reviews?	
5. Describe the organization's financial reporting to donors. How well does it meet donor requirements?	
6. Are financial reports accurate and reliable? Are they submitted on time?	
7. Do financial reports include a variance analysis comparing actual costs to the budget?	

2.7 Audit Experience ★

Subsection Objectives: Assess whether the organization undergoes routine audits and has a system for addressing audit findings. A key focus of this subsection is whether existing audit practices meet various donors' requirements.

Resources: Audit policy, financial audit reports, post-audit management plans, chief executive (director) and financial staff interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
2.7 Audit Experience ★ (NUPAS 2.12)	The organization has - No internal audit system - Not had external project audits - Not had financial statements audited or reviewed by a recognized third party - No written policies, procedures, or practices for managing audits and closing audit findings and recommendations - Financial statements that cannot be adequately audited due to their incompleteness, unreliability, or lack of documentation - Financial statements or procedures that would receive a qualified opinion, adverse opinion, or disclaimer of opinion, if they were audited - Had an accountant or regulatory body communicate a deficiency within the last three years that cannot be easily remedied	The organization has - A weak internal audit system - Weak written policies, procedures, and practices for managing audits and closing audit findings and recommendations - Had occasional project audits, but no audits of its complete financial statements - Financial statements that have received a qualified opinion, adverse opinion, or disclaimer of opinion - Had an auditor, accountant, or regulatory body communicate a deficiency in financial statements or procedures within the last three years that has not been fully remedied	The organization has - An adequate internal audit system - Adequate written policies, procedures and practices for managing audits and closing audit findings and recommendations - Financial statements regularly audited or reviewed by a third party, but not annually - Received a qualified opinion on an audit within the last three years, but the issues were not material to financial management and posed little or no fiduciary or performance risk - Had an auditor, accountant, or regulatory body communicate a deficiency in financial statements or procedures within the last three years that has been fully remedied	The organization has - A good internal audit system - Good written policies, procedures, and practices for managing audits and closing audit findings and recommendations - Financial statements audited annually by a third party - Received an unqualified opinion in the last audit (not a modified, qualified, adverse or disclaimer of opinion). - Had an auditor, accountant, or regulatory body that did not identify any deficiency in financial statements or procedures in the last year

Audit Experience	Notes
1. Does the organization have an internal audit system? If so, describe it. If not, how does it assess and manage financial risks?	
2. Have the organization's financial statements or procedures been audited or reviewed by a third party within the last three years? If so, when? Has the organization had a donor project audit within the last 3 years?	
3. Is the organization legally required to have an annual external audit or review of its financial statements?	
4. Who manages audits or external financial reviews? Does the organization have appropriate written policies, procedures, and practices for managing audits?	
5. Within the past three years, has the organization received a qualified opinion, adverse opinion, disclaimer of opinion, or deficiency in an audit or financial review? If so, when? Why?	
6. How does the organization ensure it responds audit findings and recommendations?	
7. Have all previous material audit recommendations been implemented? If some material audit recommendations have not been implemented yet, how will they be addressed? When will they be addressed?	
8. What is the board's role in reviewing and approving audit reports and following up on recommendations?	

2.8 Cost Sharing

Subsection Objectives: Assess whether the organization has systems to track, report, and document cost sharing and meet the cost sharing requirement in their agreements with various donors' regulations.

Resources: Cost sharing experience, vouchers or reports; interviews with chief executive (director) and financial managers

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
2.8 Cost Sharing	1	2	3	4
	The organization has • Not had any donor cost-sharing requirements • Had prior donor cost-sharing requirements that were not met • No written policies and procedures for recording and reporting on cost-sharing • Written policies and procedures on cost sharing that are inadequate and require substantial changes	The organization has • Not had any donor cost-sharing requirements or is not yet expected to contribute • Had prior donor cost-sharing requirements that were behind schedule, but were eventually met • Begun complying with its first donor cost-sharing requirement, and is current on all active cost-sharing requirements • Weak written policies and procedures for recording and reporting on cost-sharing that require significant changes	The organization has • Had prior donor cost-sharing requirements that were fully met • Been current on all active cost-sharing requirements • Adequate written policies and procedures for recording and reporting on cost-sharing that may need some updating	The organization has • Had prior donor cost-sharing requirements that were consistently met in full and on time • Good written policies and procedures for recording and reporting on cost-sharing that are updated as needed

Cost-Sharing Capacity	Notes
1. Describe the procedures for recording and reporting cost sharing.	
2. Have there been any issues in tracking and reporting cost sharing?	
3. Has the organization fully met prior cost-sharing requirements on time?	
4. Is the organization current on all active cost-sharing requirements?	

3. Administration and Procurement Systems

Section Objectives: Review the operational policies, procedures, and systems, including those for travel, procurement, fixed asset control, and branding and marking as well as management and the degree of management and staff understanding and compliance with these policies, procedures, and systems

Important Participants: Chief executive (director), chief financial officer, accountant, financial staff, external auditor, and IT manager

Names and Positions of Participants from the Organization:

Names and Positions of External Facilitators: _____

3.1 Operating Policies, Procedures, and Systems

Subsection Objectives: Assess the soundness of operating policies and procedures and the degree of staff understanding and compliance

Resources: Policy and procedures manual; staff questionnaires; senior manager and staff questionnaires or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
3.1 Operating Policies, Procedures, and Systems 	Operating policies, procedures, and systems are • Not written • Inadequate and require substantial changes • Rarely followed • Do not address use of office equipment, supplies, office vehicles, taxis, and personal vehicles; handling of mail, phone, faxes, and photocopying; safety and security; lost or stolen equipment; and the hiring and use of consultants • Forms and approval processes are not appropriately standardized and computerized • No written guidance on client support and provision of goods and services or guidance is rarely followed	Operating policies, procedures, and systems are written and • Weak and require significant changes • Not usually followed • Only partially address use of office equipment, supplies, office vehicles, taxis, and personal vehicles; handling of mail, phone, faxes, and photocopying; safety and security; lost or stolen equipment; and the hiring and use of consultants • Forms and approval processes are not appropriately standardized and computerized • Written guidance on client support and provision of goods and services is inadequate or not usually followed	Operating policies, procedures, and systems are written and • Adequate, but may require some updating • Usually followed • Adequately address use of office equipment, supplies, office vehicles, taxis, and personal vehicles; handling of mail, phone, faxes, and photocopying; safety and security; lost or stolen equipment; and the hiring and use of consultants • Most forms and approval processes are appropriately standardized and computerized • Written guidance on client support and provision of goods and services is adequate and usually followed	Operating policies, procedures, and systems are written and • Good and regularly updated • Consistently followed • Comprehensively address use of office equipment, supplies, office vehicles, taxis, and personal vehicles; handling of mail, phone, faxes, and photocopying; safety and security; lost or stolen equipment; and the hiring and use of consultants • Forms and approval processes are consistently appropriately standardized and computerized • Written guidance on client support and provision of goods and services is good and consistently followed

Operating Policies, Procedures, and Systems	Notes
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1. Describe the operating policies and procedures of the organization in the following areas: Management of office supplies, phones, communication systems, vehicles, equipment, consultants and staff, client support and confidentiality, and safety and security (<i>add or delete as relevant to the organization</i>).	
2. Are the operating policies and procedures written and regularly updated? When were they revised last?	
3. Are there areas where the policies and procedures need to be clarified or expanded?	
4. Are the operating policies and procedures consistently followed? Are there any areas where greater consistency is needed in following policies and procedures?	

3.2 Information Technology

Subsection Objectives: Assess the soundness of IT policies and procedures and systems and staff compliance.

Resources: Policy and procedures manual; staff questionnaires; senior manager and staff questionnaires or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
3.2 Information Technology	Information technology policies and procedures are - Not written - Written, but require substantial changes, or rarely followed IT systems are - Inadequate for the current staff size - Not networked - Based on obsolete hardware or software or illegal software - Hindered by inadequate skills of IT staff or users - Affected by lack of training on IT security, policies, and applications - Not secure from malware and security breaches - Frequently affected by unreliable grid electricity due to lack of generator equipment or fuel - Not backed up There is no system for tracking laptops	Information technology policies and procedures are written and - Weak, requiring significant changes - Not usually followed IT systems are - Barely adequate for the current staff size - Networked - Based on weak hardware or software or illegal software - Hindered by weak skills of IT staff or users - Affected by insufficient training on IT security, policies, and applications - Partly secure from malware and security breaches - Often affected by unreliable grid electricity and insufficient generator equipment or fuel - Occasionally backed up There is a weak system for tracking laptops	Information technology policies and procedures are written and - Adequate, but may require some updating - Usually followed IT systems are - Adequate for the current staff size - Networked - Based on adequate hardware and legal software - Supported by adequate skills of IT staff or users and sufficient, training on IT security, policies, and applications - Reasonably secure from malware and security breaches - Not usually affected by unreliable grid electricity due to sufficient generator equipment and fuel - Regularly backed up on an adequate schedule There is an adequate system for tracking laptops	Information technology policies and procedures are written - Good and regularly updated - Consistently followed IT systems are - Capable of serving expected growth in the staff size over the next year - Networked - Based on good hardware and legal software - Supported by good skills of IT staff or users and frequent, regular training on IT security, policies, and applications - Secure from malware and security breaches - Rarely affected by unreliable grid electricity due to sufficient generator equipment and fuel - Regularly backed up on a frequent schedule There is a good system for tracking laptops

Information Technology	Notes
1. Describe information technology systems of the organization. Has the organization made major changes in hardware or software in the last 3 years?	
2. Are IT systems adequate for the current staff size, including expected growth over the next year?	
3. Are IT systems networked? Are IT systems backed up?	
4. What risks are there to the IT system (e.g. unreliable electricity, malware and viruses)?	
5. Do IT staff and users have the skills to use the systems effectively? What additional IT skills are needed or wanted? Is training available on IT equipment use, software, and security?	

3.3 Travel Policies and Procedures ★

Subsection Objectives: Assess the soundness of travel policies and procedures and degree of staff understanding and compliance

Resources: Travel procedures manual; travel authorizations and travel vouchers; financial manager, accountant, and staff questionnaires or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
3.3 Travel Policies and Procedures ★ (NUPAS 4.4)	Travel policies and procedures are • Not written • Inadequate and require substantial changes • Adequate, but rarely followed • Not supported by adequate records • Not in compliance with donor requirements, including advance approvals There are no documented, standard per diem rates or they are not followed Travel expense reports • Have no standard format • Are not computerized • Are not supported by written trip reports • Are subject to long delays before reimbursement when complete	Travel policies and procedures are written and • Weak and require significant changes • Adequate, but not usually followed • Supported by weak records • Often not in compliance with donor requirements, including advance approvals There are documented, standard per diem rates that are usually applied Travel expense reports • Have a standard format • Are not computerized • Are not usually supported by written trip reports that are centrally filed • Are not usually reimbursed promptly when complete	Travel policies and procedures are written and • Adequate, but may require some updating • Usually followed • Supported by adequate records • Usually in compliance with donor requirements, including advance approvals There are documented, standard per diem rates that are consistently applied Travel expense reports • Have a standard format • Are computerized in spreadsheet software • Are usually supported by written trip reports, but they might not be centrally filed • Are usually reimbursed promptly when complete	Travel policies and procedures are written and • Good and regularly updated • Consistently followed • Supported by good records • Consistently in compliance with donor requirements, including advance approvals There are documented, standard per diem rates that are consistently applied Travel expense reports • Have a standard format • Are computerized and integrated with the travel approval and accounting systems • Are consistently supported by written trip reports that are centrally filed • Are consistently reimbursed promptly when complete

Travel Policies and Procedures	Notes
1. Describe the approval process for travel and the handling of advances and expenses (e.g., standard forms, cost estimates, per diems, and receipt-reimbursement).	
2. Are the travel policies and procedures regularly updated? When were they last revised?	
3. Are the travel policies and procedures consistently followed?	
4. Do the travel policies and procedures comply with donor requirements, including advance approvals?	
5. Are trip reports consistently submitted and filed in a timely manner?	
6. Are travel expense reports consistently reimbursed in a timely manner when complete?	

3.4 Procurement ★

Subsection Objectives: Assess the soundness of procurement policies and procedures and degree of staff understanding and compliance

Resources: Procurement policies, plans, and files; payment vouchers; financial manager, accountant, and staff questionnaires or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
3.4 Procurement ★ (NUPAS 3.1)	Procurement policies and procedures are • Not written • Written, but inadequate and require substantial changes • Not followed • Not supported by adequate procurement records • Not monitored for compliance • Include guidance on codes of conduct; fair and open competition; ineligible goods, services, and suppliers; sources; and allowable, allocable, and reasonable costs • Not in compliance with donor requirements, including advance approvals • Not supported with adequate training, including ethics training • At risk due to potential duplicate payments, voucher misuse, reliance on cash payments	Procurement policies and procedures are written and • Weak and require significant changes • Adequate, but not usually followed • Hindered by weak procurement records • Occasionally monitored for compliance • Include guidance on codes of conduct; fair and open competition; ineligible goods, services, and suppliers; sources; and allowable, allocable, and reasonable costs • Usually in compliance with donor requirements, including advance approvals • Supported with occasional training, including ethics training • At risk for duplicate payments, voucher misuse, reliance on cash payments	Procurement policies and procedures are written and • Adequate, but may require some minor changes or updating • Generally followed • Supported by adequate procurement records • Usually monitored for compliance • Include guidance on codes of conduct; fair and open competition; ineligible goods, services, and suppliers; sources; and allowable, allocable, and reasonable costs • Usually in compliance with donor requirements, including advance approvals • Supported with periodic training, including ethics training • Not at risk for duplicate payments, voucher misuse, reliance on cash payments	Procurement policies and procedures are written and • Good and regularly reviewed and revised as needed • Consistently followed • Supported by good procurement records • Consistently monitored for compliance • Include guidance on codes of conduct; fair and open competition; ineligible goods, services, and suppliers; sources; and allowable, allocable, and reasonable costs • Consistently in compliance with donor requirements, including advance approvals • Supported with regular training, including ethics training • Not at risk for duplicate payments, voucher misuse, reliance on cash payments

Procurement	Notes
1. Describe the organization's procurement policies (e.g., what approvals and documentation are required?)	
2. Does the procurement policy include guidance on codes of conduct, conflicts of interest, and fair and open competition?	
3. How does the organization handle donor procurement requirements (e.g., cost thresholds, approvals, rules on eligibility of goods and services or restrictions on sources)? Have these requirements caused any challenges for the organization's procurement?	
4. How does the organization avoid duplicate payments (e.g., are all invoices marked "paid" and are payment vouchers pre-numbered?)	

3.5 Fixed Asset Management (Equipment and Property)

Subsection Objective: Assess the soundness of policies and procedures for fixed assets management and degree of staff understanding and compliance.

Resources: Fixed assets register, physical inventory reports; payment vouchers: financial manager, accountant, and staff questionnaires or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
3.5 Fixed Asset Management 	Asset management policies and procedures are - Not written - Written, but inadequate and require substantial changes - Not supported by adequate inventory records - Not comprehensive, including a definition of non-expendable equipment and requirements for titling, inventory, insurance, and custody Equipment and property - Are not marked with inventory control numbers and ownership - Are not properly maintained, replaced, and disposed - Shared use is not tracked and billed to each project - Depreciation is not calculated annually according to acceptable standards	Asset management policies and procedures are written and - Weak and require significant changes - Adequate, but not usually followed - Hindered by weak inventory records - Partly comprehensive, including a definition of non-expendable equipment and requirements for titling, inventory, insurance, and custody Equipment and property - Are not consistently marked with inventory control numbers and ownership - Are not usually properly maintained, replaced, and disposed - Shared use is not tracked and billed to each project - Depreciation is calculated annually according to acceptable standards	Asset management policies and procedures are written and - Adequate, but may require minor changes or some updating - Generally followed - Supported by adequate inventory records - Generally comprehensive, including a definition of non-expendable equipment and requirements for titling, inventory, insurance, and custody Equipment and property - Are consistently marked with inventory control numbers and ownership - Are usually properly maintained, replaced, and disposed - Shared use is usually tracked and billed to each project - Depreciation is calculated annually according to acceptable standards	Asset management policies and procedures are written and - Good and regularly reviewed and revised as needed - Do not require changes - Consistently followed - Supported by good inventory records - Comprehensive, including a definition of non-expendable equipment and requirements for titling, inventory, insurance, and custody Equipment and property - Are consistently marked with inventory control numbers and ownership - Are not usually properly maintained, replaced, and disposed - Shared use is not tracked and billed to each project - Depreciation is calculated annually according to acceptable standards

Fixed Asset Management	Notes
1. Describe the organization's approach to asset management. Are there written fixed asset control policies and procedures that are complete and appropriate? Do they define fixed assets (equipment) and address titling, insurance, inventory management, and custody? When were they last reviewed?	
2. Are the fixed asset control policies and procedures consistently followed?	
3. Is an inventory conducted in accordance with the policies and procedures?	
4. Is equipment shared across projects or programs with different funding? If so, how is this tracked and have there been any issues?	
5. Is equipment properly maintained? Is worn-out equipment replaced as needed?	
6. Is depreciation calculated annually following acceptable standards?	

3.6 Branding and Marking

Subsection Objectives: Assess compliance with the branding and marking requirements of USAID and other donors, where applicable

Resources: Branding and marking plan; senior manager interviews; observation of signs at project sites, vehicles, equipment, and publications

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
3.6 Branding and Marking	The organization has - Not received any financial support from donors with branding and marking requirements - Received financial support from donors with branding and marking requirements, but has not yet complied with these requirements - No written policies and procedures on branding and marking - Notices required by law or donors are not posted - No logo or tagline	The organization has - Had prior donor branding and marking requirements that were not fully met - Been in the process of complying with its first donor branding and marking requirements - Weak written policies and procedures for branding and marking - Notices required by law or donors are not usually posted - A logo and/or tagline	The organization has. - Had prior donor branding and marking requirements that may have behind schedule, but were eventually fully met - Adequate written policies and procedures for branding and marking that may need some updating - Notices required by law or donors are usually posted - A logo and tagline	The organization has - Had prior donor branding and marking requirements that were consistently met in full and on time - Good written policies and procedures for branding and marking that are updated as needed - Notices required by law or donors are usually posted - A well-recognized logo and tagline

Branding and Marking	Notes
1. How does the organization brand its materials? Does it have a logo, tagline, or other visible brands? How effective do you feel those are?	
2. Are there written branding and marking policies that comply with the requirements of USAID and other existing donors? Any challenges in following them? Have they caused any challenges to the organization's work or branding itself?	
3. Does the organization post all notices required by law or donors?	

4. Human Resource Systems

Section Objectives: Assess the quality of staff job descriptions, recruitment and retention approaches, staffing levels, personnel policies, the staff time management and payroll system, staff and consultant history documentation, the staff salary and benefits policy, staff performance management, staff diversity, and the policy on volunteers and interns to determine whether the organization can maintain a satisfied and skilled workforce, manage operations, and implement quality programs

Important Participants: Chief executive (director); human resources director and staff

Names and Positions of Participants from the Organization: _____

Names and Positions of External Facilitators: _____

4.1 Adequacy of Staffing and Job Descriptions

Subsection Objectives: Review the organization's systems for recruiting qualified staff, structuring staff positions, and developing and updating job descriptions to ensure that roles and responsibilities are clearly defined, understood, and relevant

Resources: Human resources policy; sample job descriptions; senior manager and staff questionnaires or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
4.1 Adequacy of Staffing and Job Descriptions	• Policies and procedures on staffing and job descriptions are: ○ not written; or ○ are inadequate and require substantial changes; ○ or they are not followed; ○ not supported by adequate records in secure central files; ○ not comprehensive addressing position titles, roles and responsibilities, required qualifications and skills, reporting, delegations of authority, and re-assignments • No written staffing plan or it is not followed • Many key management, technical, or finance positions have not been established, remain vacant, or are filled by people without appropriate skills • Some vacancies have significantly reduced efficiency or effectiveness for more than 6 months	• Policies and procedures on staffing and job descriptions are: ○ written, but weak and require significant changes; or ○ adequate, but not usually followed. ○ may be hindered by weak records or lack of secure central files; ○ partly comprehensive addressing position titles, roles and responsibilities, required qualifications and skills, reporting, delegations of authority, and re-assignments • A written staffing plan that is weak or not usually followed • Some key management, technical, or finance positions have not yet been established, remain vacant, or are filled by people without the appropriate qualifications or skills • Some vacancies have significantly reduced efficiency or effectiveness for 3-6 months	• Policies and procedures on staffing and job descriptions are: ○ written and adequate, but may require minor changes or some updating. T ○ generally followed ○ supported by adequate records in secure central files; ○ adequately comprehensive addressing position titles, roles and responsibilities, required qualifications and skills, reporting, delegations of authority, and re-assignments • A written staffing plan that is generally adequate and is usually followed with appropriate flexibility • Most key management, technical, and finance positions are filled by people with appropriate qualifications and skills • Some vacancies have reduced efficiency or effectiveness for no more than 3 months	• Policies and procedures on staffing and job descriptions are ○ written and good and regularly revised as needed; ○ do not require changes ○ consistently followed; ○ supported by good records in secure central files; and ○ fully comprehensive addressing position titles, roles and responsibilities, required qualifications and skills, reporting, delegations of authority, and re-assignments • A written staffing plan that is good and consistently followed with appropriate flexibility • All key management, technical, and finance positions are filled by people with appropriate qualifications and skills • Vacancies have not reduced efficiency or effectiveness

	- Many staff need to substantially improve their capacity to do their jobs well - There is little diversity in the gender, ethnic, religious, and cultural composition of management and staff - The organization has made little or no active efforts to diversify the management and staff	- Many staff need to significantly improve their capacity to do their current jobs well - There is some diversity in the gender, ethnic, religious, and cultural composition of management and staff, but some groups are significantly under-represented - The organization has made some efforts to diversify management and staff that have not been very successful	- Some staff need to improve their capacity to do their current jobs well - There is significant diversity in the gender, ethnic, religious, and cultural composition of management and staff, but some groups remain under-represented - The organization has made some active efforts to diversify management and staff that have been partially successful	- Some staff need to improve their capacity to take on new tasks or adjust to new systems and requirements - There is good diversity in the gender, ethnic, religious, and cultural composition of management and staff - The organization has made some active efforts to diversify management and staff that have been successful
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Adequacy of Staffing and Job Descriptions	Notes
1. Are there written policies on job descriptions and delegations of authority that are complete and appropriate? When were they last reviewed?	
2. Do job descriptions include position titles and clearly specify roles and responsibilities, required qualifications and skills, and reporting?	
3. Are the policies consistently applied?	
4. Do all staff have written job descriptions, delegations of authority, and re-assignments that are up to date?	
5. Are all personnel records in secure central files?	
6. Have the needed management, technical, and finance positions been established?	
7. Are all key management, technical, and finance positions currently filled by people with the appropriate qualifications and skills?	
8. Do most staff have the capacity to do their current jobs well?	
9. What is the gender, ethnic, religious, and cultural composition of management and staff?	
10. How well is the organization able to work with targeted communities? Is the composition of the community reflected in the organization?	

4.2 Recruitment and Retention

Subsection Objectives: Assess the organization's systems for recruiting and retaining staff

Resources: Human resources manual, recruitment guidelines or policy, recruitment policies and procedures, retention strategy or policy, attrition rates, senior manager and staff questionnaires or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
4.2 Recruitment and Retention 	Policies and procedures for staff recruitment and retention are • Not written • Inadequate or not followed • Not supported by adequate records • Recruitment and hiring are prone to favoritism or bias • References and salary history are not verified • It is difficult to recruit most positions • Staff attrition rates are high for the organization's size, type, and location • Salaries and advancement potential are very low • Most staff are dissatisfied with the organization or their positions	Policies and procedures for staff recruitment and retention are written and • Weak or incomplete • Adequate, but not usually followed • Hindered by weak records • Recruitment and hiring are not open and transparent • References and salary history are not usually verified • It is difficult to recruit many positions • Staff attrition is above normal for the organization's size, type, and location • Staff have few opportunities for career advancement and salary increases	Policies and procedures for staff recruitment and retention are written and • Adequate, but may require some updating • Usually followed. • Supported by adequate records • Recruitment, hiring, and retention are usually open and transparent • References and salary history are usually verified • It is difficult to recruit some positions • Staff attrition is typical for the organization's size, type, and location • Staff have some opportunities for career advancement and salary increases	Policies and procedures for staff recruitment and retention are written and • Good and regularly revised as needed • Consistently followed • Supported by good records • Recruitment, hiring, and retention are consistently open and transparent • References and salary history are consistently verified • It is not difficult to recruit a few key positions • Staff attrition is relatively low for the organization's size, type, and location • Staff have significant opportunities for career advancement and salary increases

	• Staff professional development needs are not identified • Rarely provide training and other staff development opportunities for staff	• Most staff are partially satisfied with the organization and their positions • Staff professional development needs are not adequately identified • Occasionally provide training and other staff development opportunities for staff, but the amount or quality may be weak	• Most staff are satisfied with the organization and their positions • Staff professional development needs are periodically identified, but less than once a year • Regularly provide training and other staff development opportunities for staff, but more is needed	• Most staff have high satisfaction with the organization and their positions • Staff professional development needs are routinely identified at least once a year • Regularly provide an appropriate amount and quality of training and other staff development opportunities for staff
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Recruitment and Retention	Notes
1. How does the organization recruit new staff?	
2. What does the organization do to retain existing staff?	
3. Is the recruitment and hiring process open and transparent? How are positions announced or advertised?	
4. Who is involved in screening applications and interviewing and selecting candidates? Are candidate references and salary history consistently checked?	
5. How do staff attrition rates compare to other organizations of this size, type, and location?	
6. Does the organization offer significant opportunities for career advancement and salary increases beyond inflation?	
7. How satisfied are staff with the organization and their positions?	
8. Are staff professional development needs regularly identified? What training and staff development opportunities are available? Are these opportunities relevant, appropriately designed, and well used?	

4.3 Personnel Policies ★

Subsection Objectives: Assess whether the organization's personnel policies conform to good practices and donor requirements

Resources: Personnel policies and procedures; senior manager and staff questionnaires or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
4.3 Personnel Policies ★ (NUPAS 4.1)	Personnel policies and procedures are • Not written • Written, but not followed • Inadequate and require substantial changes • Not supported by adequate human resource records • Not comprehensive in addressing work schedules and locations, salaries and benefits, sick leave and annual leave, performance reviews, employee conduct, disciplinary procedures, grievances, resignations, and terminations • Not given to all staff • Not in compliance with legal and donor requirements and certifications	Personnel policies and procedures are written and • Weak and requires significant changes • Not usually followed • Hindered by weak recruitment and personnel records • Partly comprehensive in addressing work schedules and locations, salaries and benefits, sick leave and annual leave, performance reviews, employee conduct, disciplinary procedures, grievances, resignations, and terminations • Not usually given to all staff • Not usually in full compliance with legal and donor requirements and certifications	Personnel policies and procedures are written and • Adequate, but may require some updating or minor changes • Generally followed • Supported by adequate recruitment and personnel records • Mostly comprehensive in addressing work schedules and locations, salaries and benefits, sick leave and annual leave, performance reviews, employee conduct, disciplinary procedures, grievances, resignations, and terminations • Usually given to all staff • Usually in full compliance with legal and donor requirements and certifications	Personnel policies and procedures are written and • Good and regularly reviewed and revised as needed • Consistently followed • Supported by good human resource records • Fully comprehensive, addressing work schedules and locations, salaries and benefits, sick leave and annual leave, performance reviews, employee conduct, disciplinary procedures, grievances, resignations, and terminations • Consistently given to all staff and acknowledged in writing • Consistently in full compliance with legal and donor requirements and certifications

Personnel Policies	Notes
1. Describe the organization's personnel policies. What issues do these cover? (e.g. work schedules, salaries and benefits, sick leave and annual leave, holidays, performance reviews, employee conduct, disciplinary procedures, grievances, resignations, terminations, bonuses).	
2. Are the personnel policies and procedures consistently followed? How well do they work for the organization?	
3. Do staff receive the personnel policies and procedures and sign an acknowledgment?	
4. Do personnel policies fully comply with legal and donor requirements?	

4.4 Staff Time Management and Payrolls ★

Subsection Objectives: Assess whether the organization has a well-documented payroll system based on accurate timesheets that are signed and approved and reflect hours spent on each project and indirect activities

Resources: Payroll policies and procedures, time sheets, work schedule policies, payment vouchers, timesheets, financial managers and staff questionnaires and interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
4.4 Staff Time Management and Payrolls ★ (NUPAS 4.2)	Payroll policies and procedures are • Not written • Written, but inadequate and require substantial changes • Not followed Payrolls are • Not supported by written timesheets signed by staff and supervisors • Not approved by senior management • Not usually free of errors • Payroll taxes are not paid • Salaries and wages are often late, inaccurate, or incomplete	Payroll policies and procedures are written and • Weak and require significant changes • Not usually followed Payrolls are • Supported by written timesheets that are often not timely, complete, or signed by staff and supervisors • Estimated from project budgets • Not usually approved by senior management • Usually free of errors • Payroll taxes are not usually paid on time and supported with documentation of deductions and exemptions Salaries and wages are late, inaccurate, or incomplete	Payroll policies and procedures are written and • Adequate, but may require some updating • Usually applied Payrolls are • Supported by written timesheets that are usually timely, complete, and signed by staff and supervisors • Based on actual time worked on each project and indirect activities • Usually approved by senior management • Generally free of errors • Payroll taxes are usually paid on time and supported with documentation of deductions and exemptions • Salaries and wages are consistently late, inaccurate, or incomplete	Payroll policies and procedures are written and • Good and regularly reviewed and revised as needed • Consistently followed Payrolls are • Supported by written timesheets that are usually timely, complete, and signed by staff and supervisors • Based on actual time worked on each project and indirect activities • Consistently approved by senior management • Consistently free of errors • Payroll taxes are consistently paid on time and supported with documentation of deductions and exemptions • Salaries and wages are consistently late, inaccurate, or incomplete

Staff Time Management and Payrolls	Notes
1. Does the organization have written policies and procedures for timesheets to support payrolls?	
2. Are the payroll policies and procedures consistently followed?	
3. Do employees consistently submit written timesheets on time that are signed and reflect actual time worked?	
4. Are payrolls based on actual time worked on each project and indirect activities?	
5. Are timesheets consistently signed and approved by supervisors?	
6. Are payrolls approved by senior managers?	
7. Are payroll records consistently free of errors?	
8. Are payroll taxes paid on time and accurately?	
9. Are salary and wage payments consistently accurate, complete, and on time?	

4.5 Staff and Consultant History ★

Subsection Objectives: Assess whether the organization's record-keeping on staff and consultants provides the information needed for effective management, submission of timely and effective proposals, and addressing legal disputes

Resources: Staff and consultant resumes and salary histories, consultant work products, exit interview memos, human resources managers and staff questionnaires and interviews, and work status records (part/full time, extended leave, salary, benefits, assignments, training, bonuses and awards)

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
4.5 Staff and Consultant History ★ (NUPAS 4.3)	The organization has - No records of current and prior staff resumes, performance appraisals, changes in work status, salaries, and contracts - No records of consultant resumes, contracts, terms of reference, major outputs, and assessments of work products - Staff and consultant resumes are not kept up to date for a roster for new proposals - Staff exit interviews are not routinely done	The organization has - Incomplete records of current and prior staff resumes, performance appraisals, changes in work status, salaries, and contracts - Incomplete records of consultant resumes, contracts, terms of reference, major outputs, and assessments of work products - Staff and consultant history documentation is not in a secure central file - Staff and consultant resumes are not kept up to date for a roster for new proposals - Staff exit interviews are not usually done or key findings are not documented	The organization has - Adequate records of current and prior staff resumes, performance appraisals, changes in work status, salaries, and contracts - Adequate records of consultant resumes, contracts, terms of reference, major outputs, and assessments of work products - Staff and consultant history documentation is usually accessible in a secure central file - Staff and consultant resumes are updated on an ad hoc basis for specific new proposals - Staff exit interviews are usually done and key findings are documented	The organization has - Incomplete records of current and prior staff resumes, performance appraisals, changes in work status, salaries, and contracts - Incomplete records of consultant resumes, contracts, terms of reference, major outputs, and assessments of work products - Staff and consultant history documentation is consistently accessible in a secure central file - Staff and consultant resumes are updated on a regular basis for new proposals - Staff exit interviews are consistently done and key findings are documented

Staff and Consultant Documentation	Notes
1. Does the organization consistently keep staff resumes, performance appraisals, and changes in staff work status, salaries, and contracts in a secure central file?	
2. Does the organization consistently keep consultant resumes, contracts, and major work products, and assessments of outputs?	
4. Does the organization consistently conduct staff exit interviews? How is the information from exit interviews used?	

4.6 Staff Salaries and Benefits ★

Subsection Objectives: Assess whether the organization's practices on salaries and benefits conform to good practices and legal and donor requirements

Resources: Human resources policy, salary classification, employee handbook, labor laws, human resources managers and staff questionnaires and interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
4.6 Staff Salaries and Benefits ★ (NUPAS 4.1)	1	2	3	4
	Policies and procedures on staff salaries and benefits are: - Not adequate - Not in compliance with labor laws The organization: - Pays less than legally required minimum wages - Lacks standard pay ranges or a pay classification system - Does not regularly adjust pay scales for inflation - Does not document employee benefits in a policy manual or handbook given to all employees - Does not make payments for government benefit programs or only made for a subset of eligible employees - Does not pay overtime or compensatory leave as required by law	Policies and procedures on staff salaries and benefits are: - Weak and require significant changes and/or are not usually applied - In partial compliance with labor laws The organization: - Pays legally required minimum wages - Has standard pay ranges or a pay classification system, but they are not usually applied - Does not regularly adjust pay scales for inflation - Does not document employee benefits in a policy manual or handbook given to all employees - Does not make payments for government benefit programs or only made for a subset of eligible employees - Does not usually pay overtime or compensatory leave as required by law - Does not control overtime through advance approvals	Policies and procedures on staff salaries and benefits are: - Adequate, but may need some updating - Usually applied - In full compliance with labor laws The organization: - Pays legally required minimum wages - Has standard pay ranges or a pay classification system - Usually follows the pay ranges or classification - Periodically adjusts pay scales for inflation - Documents employee benefits in a policy manual or handbook given to all employees - Makes payments for government benefit programs for all eligible employees - Usually pays overtime or compensatory leave as required by law - Usually control overtimes through advance approvals	Policies and procedures on staff salaries and benefits are: - Good and updated as needed - Consistently applied - In full compliance with labor laws The organization: - Pays legally required minimum wages - Has standard pay ranges or a pay classification system - Consistently follows the pay ranges or classification - Regularly adjusts pay scales for inflation - Documents employee benefits in a policy manual or handbook given to all employees - Make payments for government benefit programs for all eligible employees - Consistently pays overtime or compensatory leave as required by law - Consistently controls overtime through advance approvals

Staff Salaries and Benefits	Notes
1. Describe the organization's staff salary and benefits policies. When were they last revised?	
2. Are most staff sufficiently familiar with the policies and procedures? Are the salary and benefits policies and procedures consistently followed?	
3. Does the organization have standard pay ranges or a pay grade and step system?	
4. Is the pay classification consistently applied to all staff?	
5. Are pay scales regularly adjusted for inflation?	
6. What are the criteria and procedures for pay raises that are not inflation based? Are these raises linked to longevity, performance reviews, or other criteria such as other organizations' salaries?	
7. Are employee benefits documented in a policy manual or handbook given to all employees?	
8. Are payments for government benefit programs made for all eligible employees?	
9. Does the organization provide overtime pay and/or compensatory leave in accordance with labor laws? Is advance approval required for overtime pay and compensatory leave? What is the process for approving and managing overtime pay and compensatory leave?	

4.7 Staff and Contractor Supervision and Work Planning

Subsection Objectives: Assess the clarity of supervisory responsibilities and staff and contractor work planning

Resources: Organization chart, supervision plan, supervisor reports, training needs assessment and training plans for supervisors, employee and contractor work plans, questionnaires or interviews of managers and staff

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
4.7 Staff and Contractor Supervision and Work Planning 	The organization has - Not defined and documented supervisory assignments - No written policies and procedures for staff and contractor supervision - Written supervision policies and procedures that are not usually followed - Many supervisors with inadequate skills and training - Employees and contractors do not have written workplans or performance objectives - Staff and consultants lack clear and detailed guidance or scopes of work for specific assignments	The organization has - Defined and documented some supervisory assignments, but they may be incomplete, unclear, or out of date - Weak written policies and procedures for staff and contractor supervision - Supervision policies and procedures that are not usually followed - Some supervisors with weak skills and training - Employees and contractors do not usually have written workplans or performance objectives prepared at least once a year or they are not timely - Staff and consultants usually do not have clear and detailed guidance or scopes of work for specific assignments	The organization has - Defined and documented most supervisory assignments, but some may need updating - Adequate written policies or procedures for staff and contractor supervision - Supervision policies and procedures that are usually followed - Supervisors with adequate skills and training - Most employees have written workplans or performance objectives prepared at least once a year on a timely basis - Staff and consultants usually have clear and detailed guidance or scopes of work for specific assignments	The organization has - Defined and documented supervisory assignments and revised them as needed - Good written policies or procedures for staff and contractor supervision - Supervision policies and procedures that are consistently followed - Supervisors with good skills and training - Employees consistently have written workplans or performance objectives prepared at least once a year on a timely basis - Staff and consultants consistently have clear and detailed guidance or scopes of work for specific assignments

Staff and Contractor Supervision and Work Planning	Notes
1. How are supervisory assignments established and documented?	
2. What are policies and procedures for staff and contractor supervision?	
3. Are the staff and contractor supervision policies and procedures consistently followed?	
4. Do supervisors have good supervision skills?	
5. Do supervisors receive training on personnel management? How often? What types of training? Is additional training needed?	
6. How does the organization set workplans or performance objectives for staff and/or contractors? How often are those prepared or revised?	
7. Do staff and consultants have clear and detailed guidance or scopes of work for specific assignments?	

4.8 Volunteers and Interns

(Skip if volunteers and interns are not used)

Subsection Objectives: Assess the organization's systems for managing volunteers and interns.

Resources: Policies on volunteers and intern recruitment, training, and supervision; records on number of volunteers and interns; job descriptions for volunteers and interns; volunteer and intern surveys and exit interviews; senior manager questionnaires and interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
4.8 Volunteers and Interns	1	2	3	4
	The organization has policies and procedures on selection, training, management, and supervision of volunteers and interns that are • Not written • Written, but inadequate and require substantial changes • Not applied	The organization has written policies and procedures on selection, training, management, and supervision of volunteers and interns that are • Weak and require significant changes • Not usually applied	The organization has written policies and procedures on selection, training, management, and supervision of volunteers and interns that are • Adequate, but may need some minor changes or updating • Usually applied	The organization has written policies and procedures on selection, training, management, and supervision of volunteers and interns that are • Good and updated as needed • Consistently applied

Volunteers and Interns	Notes
1. Does the organization rely on volunteers or interns? If so, how many volunteers and interns regularly assisted the organization over the past year? Give examples of their roles and supervision.	
2. Are there written policies and procedures on recruiting and managing volunteers and interns? If so, describe them. Have there been any problems in managing volunteers or interns?	
3. Has the organization obtained the desired number of volunteers and interns? Has the strategy for recruiting volunteers and interns been effective? What additional approaches might be useful?	

5. Program Management

Section Objectives: Assess the organization’s experience with donor compliance, sub-award management, technical reporting, stakeholder involvement, and addressing culture and gender issues

Important Participants: Chief executive (director), program managers and staff, sub-grant and sub-contract recipients, key stakeholders (clients)

Names and Positions of Participants from the Organization:

Names and Positions of External Facilitators:

5.1 Donor Compliance Requirements

Subsection Objectives: Assess the organization's capacity to comply with complex donor requirements so that funded programs can continue to operate and the organization will remain eligible for future support

Resources: Policy and procedure manuals; donor policies; grant and contract agreements; donor reports, audits, and evaluations; and senior manager and donor questionnaires and interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
5.1 Donor Compliance Requirements 	The organization has - Not received a direct award from USAID or another donor with complex compliance requirements - Not received a sub-award from USAID - Little understanding of USG cost principles (A-122) and USAID's Standard Provisions for Non-US organizations - Inadequate systems and procedures that would require substantial changes to meet complex donor requirements - Not had to comply with complex requirements of USAID and other donors	The organization has - Not received a direct award from USAID or another donor with complex compliance requirements - Received a sub-award from USAID - A basic understanding of USG cost principles (A-122) and USAID's Standard Provisions for Non-US organizations - Weak systems and procedures that would require significant changes to meet complex donor requirements - Not adequately complied with complex requirements of USAID and other donors	The organization has - Received a direct award from USAID or another donor with complex compliance requirements - An adequate understanding of USG cost principles (A-122) and USAID's Standard Provisions for Non-US organizations - Adequate systems and procedures to meet complex donor requirements, but they may need some updating - Usually complied with complex requirements of USAID and other donors	The organization has - Received a direct award from USAID - Filed the required certifications for a direct award from USAID - A good understanding of USG cost principles (A-122) and USAID's Standard Provisions for Non-US organizations - Good systems and procedures to meet complex donor requirements - Consistently complied with complex requirements of USAID and other donors

Donor Compliance	Notes
1. Has the organization received a direct award from USAID?	
2. Has the organization received a direct award from other donors? If so, which donors? Do these donors have complex compliance requirements like USAID?	
3. Has the organization received a sub-award from USAID?	
4. Has the organization filed the certifications needed for a direct award from USAID?	
5. Has the organization filed the certifications needed for a sub-award from USAID?	
6. Does the organization have a good understanding of USG cost principles (A-122)?	
7. Does the organization have a good understanding of USAID's Standard Provisions for Non-US organizations?	
8. Does the organization have good systems and procedures to meet complex donor requirements?	
9. Does the head office consistently comply with complex requirements of USAID and other donors?	
10. Have donor reports, audits, or evaluations indicated any compliance issues?	

5.2 Sub-Award (Sub-Grant and Sub-Contract) Management ★

(Skip if the organization does not manage sub-awards)

Subsection Objectives: Review systems and procedures for awarding, managing, and supervising sub-grants and sub-contracts to other organizations

Resources: Grants manual, sub-grant policies, partner agreements, financial and progress reports from sub-awardees, site visit reports, staff and sub-awardee questionnaires or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
5.2 Sub-Award Management ★ (NUPAS 3.2)	Policies and procedures for sub-award management are • Not written • Written, but inadequate and require substantial changes • Not followed The organization has • Not provided formal sub-awards • No requirements for competition, transparency, and ethical behavior of sub-awardees	Policies and procedures for sub-award management are • Weak and require significant changes • Not usually applied The organization has • Limited experience providing sub-awards • Not adequately oriented sub-awardees on their responsibilities • Not usually provided adequate technical and financial oversight to sub-awardees, including regularly scheduled and documented supervisory visits • Not usually ensured that sub-awardees submit regular financial and progress reports • Not provided adequate and timely feedback on reports to sub-awardees • Inadequate requirements for competition, transparency, and ethical behavior of sub-awardees	Policies and procedures for sub-award management are • Adequate, but may require some updating • Usually applied The organization has • Significant experience providing sub-awards • Adequately oriented sub-awardees on their responsibilities • Provided adequate technical and financial oversight to sub-awardees, including regularly scheduled and documented supervisory visits • Usually ensured that sub-awardees submit regular financial and progress reports • Usually provided adequate and timely feedback on reports to sub-awardees • Adequate requirements for competition, transparency, and ethical behavior of sub-awardees	Policies and procedures for sub-award management are • Good • Consistently applied The organization has • Substantial experience providing sub-awards • Consistently oriented sub-awardees on their responsibilities • Provided good technical and financial oversight to sub-awardees, including regularly scheduled and documented supervisory visits • Consistently ensured that sub-awardees submit regular financial and progress reports • Consistently provided adequate and timely feedback on reports to sub-awardees • Good requirements for competition, transparency, and ethical behavior of sub-awardees

Sub-Award Management	Notes
1. Does the organization have much experience providing sub-grants and sub-contracts?	
2. How is the organization viewed by its sub-awardees?	
3. What challenges have occurred in applying donor rules and regulations for sub-awards? How have the challenges been addressed?	
4. Describe how the organization manages and monitors sub-awards.	
5. Has the organization consistently provided good technical and financial oversight to the sub-awardees, including regularly scheduled supervisory visits to sub-awardees? Is the oversight documented?	
6. Does the organization provide thorough and timely feedback on the financial and technical reports of sub-awardees?	
7. Does the organization have policies and procedures requiring competition, transparency, and ethical behavior by sub-awardees?	

5.3 Technical Reporting ★

Subsection Objectives: Assess the organization's ability to document activities and results for effective implementation, planning, and program development as well as reporting to donors

Resources: Progress and technical reports, donor feedback on reports, and interviews with senior managers and donors

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
5.3 Technical Reporting ★ (NUPAS 5.2)	Technical reports on projects have • Not been prepared • Been prepared with substantial assistance from donors or technical assistance providers • Been incomplete or unreliable • Not tracked workplan progress and program or project indicators • Not been used to analyze strategies and activities, challenges and opportunities, remedial measures, lessons learned, and good practices • Not been reviewed by senior management or shared broadly with staff	Technical reports on projects have • Been prepared with significant assistance from a donor or technical assistance providers • Been reliable, but may not be complete or timely • Not usually tracked workplan progress and program or project indicators • Demonstrated a limited ability to document quantitative and qualitative progress and review objectives, strategies, and activities • Not usually been effectively used to analyze strategies and activities, challenges and opportunities, remedial measures, lessons learned, and good practices • Not usually been reviewed by senior management or shared broadly with staff	Technical reports on projects have • Been prepared without significant assistance from donors or technical assistance providers • Been reliable and reasonably complete, but may not always be timely • Usually tracked workplan progress and program or project indicators • Demonstrated an adequate ability to document quantitative and qualitative progress and review objectives, strategies, and activities • Usually been used to analyze strategies and activities, challenges and opportunities, remedial measures, lessons learned, and good practices • Usually been reviewed by senior management and shared broadly staff	Technical reports on projects have • Been prepared without assistance from donors or technical assistance providers • Been reliable, complete, and timely • Consistently tracked workplan progress and program or project indicators • Demonstrated a good ability to document quantitative and qualitative progress and review objectives, strategies, and activities • Consistently been used to analyze strategies and activities, challenges and opportunities, remedial measures, lessons learned, and good practices • Consistently been reviewed by senior management and shared broadly with staff

Technical Reporting	Notes
1. Does the organization regularly produce technical reports? Describe the types of reports produced.	
2. Are technical reports consistently submitted on time?	
3. Are technical reports consistently complete and reliable? Is much assistance from donor staff needed to prepare or revise the reports?	
4. Do technical reports consistently track workplan progress and program or project indicators?	
5. Are technical reports also used internally? If so, have they helped the organization review strategies and activities, identify constraints and opportunities, and formulate lessons learned and good practices consistently? If not, how could technical reports be made more useful?	

5.4 Stakeholder Involvement

Subsection Objectives: Assess whether the organization is responsive to stakeholder needs and seeks input from clients (beneficiaries) in designing, implementing, monitoring, and evaluating projects

Resources: Project guidelines; stakeholder analyses; project plans; site visit, monitoring, and evaluation reports; client and staff questionnaires or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
5.4 Stakeholder Involvement 	The organization has - No written policies and procedures for stakeholder involvement and confidentiality, or they are not applied - Not sought a broad range of stakeholder views in project design, implementation, and monitoring and evaluation - Not collected sufficient baseline data before projects - No regular meetings or communication with clients - Rarely shared project findings and recommendations with clients - Not referred clients to other appropriate service providers - Inadequate physical space to meet with individual clients and groups	The organization has - Weak written policies and procedures for stakeholder involvement and confidentiality, or they are not usually applied - Not usually collected sufficient baseline data before projects - Not usually incorporated a broad range of stakeholder views in project design, implementation, and monitoring and evaluation - Irregular meetings with clients or largely one-way communications - Not usually shared project findings and recommendations with clients - Not usually referred clients to other appropriate service providers - Poor physical space to meet with individual clients and groups	The organization has - Adequate written policies and procedures for stakeholder involvement and confidentiality - Usually collected sufficient baseline data before projects - Usually incorporated stakeholder views in project design, implementation, and monitoring and evaluation - Regular meetings with two-way communications with clients - Usually shared project findings and recommendations with clients - Usually referred clients to other appropriate service providers - Adequate physical space to meet with individual clients and groups	The organization has - Good written policies and procedures for stakeholder involvement and confidentiality - Consistently collected sufficient baseline data - Consistently incorporated a broad range of stakeholder views in project design, implementation, and monitoring and evaluation - Regular meetings with two-way communications with clients and clear channels for stakeholders to raise issues at any time - Consistently shared project findings and recommendations with clients - Consistently referred clients to other appropriate service providers - Good physical space to meet with individual clients and groups

Stakeholder Involvement	Notes
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1. Who are the organization's stakeholders?	
2. When does the organization reach out to stakeholders and how often? Are stakeholders actively involved in project design? Are they actively involved during implementation?	
3. How does the organization seek stakeholder views in monitoring and evaluating projects? Does the organization consistently collect baseline data?	
4. Does the organization have clear channels of communication that stakeholders can use to raise issues? Describe the communication channels. How have stakeholders used these communication channels and what were the results?	
5. Does the organization share the findings and recommendations of assessments, studies, plans, and evaluations with key stakeholders?	
6. What are the organization's strengths in stakeholder involvement? How does it build on stakeholder involvement?	
7. What are the organization's weaknesses in stakeholder involvement? How can it improve stakeholder involvement?	

5.5 Culture and Gender Issues

Subsection Objectives: Assess the organization's ability to address culture and gender issues in its strategies and project design and implementation.

Resources: Culture assessments; gender analyses; strategy documents; project plans; monitoring reports; evaluations; senior manager, staff and client questionnaires and interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
5.5 Culture and Gender Issues 	Policies, procedures, and systems for addressing culture and gender issues are • Not written • Written, but inadequate and require substantial changes • Not followed The organization has • Inadequate tools and expertise for systematically assessing culture and gender issues • Not given staff adequate training on culture and gender issues and tools • Not adequately addressed culture and gender issues in project planning, implementation, monitoring, and evaluation • Frequently experienced major problems in programs due to inadequate consideration of culture or gender issues	Written policies, procedures, and systems for addressing culture and gender issues are • Weak and require significant changes • Not usually applied The organization has • Weak tools and expertise for systematically assessing culture and gender issues • Not usually given staff sufficient training on culture and gender issues and tools • Not usually adequately addressed culture and gender issues in project planning, implementation, monitoring, and evaluation • Often experienced major problems in programs due to inadequate consideration of culture or gender issues	Written policies, procedures, and systems for addressing culture and gender issues are • Adequate, but may require some updating • Usually applied The organization has • Adequate tools and expertise for systematically assessing culture and gender issues • Usually given staff sufficient training on culture and gender issues and tools • Usually adequately addressed culture and gender issues in project planning, implementation, monitoring, and evaluation • Occasionally experienced major problems in programs due to inadequate consideration of culture or gender issues	Written policies, procedures, and systems for addressing culture and gender issues are • Good • Consistently applied The organization has • Good tools and expertise for systematically assessing culture and gender issues • Consistently given staff sufficient training on culture and gender issues and tools • Consistently adequately addressed culture and gender issues in project planning, implementation, monitoring, and evaluation • Rarely experienced major problems in programs due to inadequate consideration of culture or gender issues

Culture and Gender Issues	Notes
1. How does the organization ensure that staff are sensitive to culture and gender issues in their work?	
2. Are there specific procedures and tools to address culture and gender? If so, describe them? How effective have these procedures and tools been?	
3. Do staff have good expertise for systematically assessing culture and gender issues?	
4. Have staff received adequate training on culture and gender issues and tools? How frequently? Is additional training needed?	
5. Does the organization consistently consider culture and gender issues in project planning and implementation?	
6. Does the organization consistently consider culture and gender issues in monitoring and evaluation?	
7. How often have programs and projects experienced problems due to culture or gender issues? How were these problems handled?	

6. Project Performance Management

Section Objectives: Assess the organization’s ability to monitor and evaluate projects, implement high-quality programs that meet recognized standards, supervise staff, and provide field support and oversight

Important Participants: Chief executive (director), managers and staff responsible for monitoring and evaluation

Names and Positions of Participants from the Organization: _____

Names and Positions of External Facilitators: _____

6.1 Monitoring and Quality Assurance ★

Subsection Objectives: Review the organization's ability to carry out regular, internal monitoring of project input use, activities, and outputs.

Resources: Monitoring plans, tools, and internal reports, technical reports for donors, project mitigation plans, monitoring staff and client questionnaires or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
6.1 Monitoring and Quality Assurance ★ (NUPAS 5.2)	Policies and procedures for monitoring are • Not written • Written, but inadequate and require substantial changes • Not followed The organization has • Substantial difficulty setting realistic targets and meaningful performance indicators • Inadequate expertise in collection and analysis of baseline and monitoring data • Monitoring data that are frequently absent, unreliable, or not timely • Inadequate ability to explain differences between performance and targets, and to identify effective remediation measures and lessons learned for subsequent projects	Policies and procedures for monitoring are written and • Weak and require significant changes • Not usually applied The organization has • Significant difficulty setting realistic targets and meaningful performance indicators • Weak expertise in collection and analysis of baseline and monitoring data • Monitoring data that are often incomplete or not timely • Weak ability to explain differences between performance and the targets and to identify remediation measures and lessons learned for subsequent projects	Policies and procedures for monitoring are written and • Adequate, but may require some updating • Usually applied The organization has • Usually set realistic targets and meaningful performance indicators • Adequate expertise in collection and analysis of baseline and monitoring data • Monitoring data that are reasonably complete and reliable, but may not be timely • Adequate ability to explain differences between performance and the targets and to identify remediation measures and lessons learned for subsequent projects	Policies and procedures for monitoring are written and • Good • Consistently applied The organization has • Consistently set realistic targets and meaningful performance indicators • Good expertise in collection and analysis of baseline and monitoring data • Monitoring data that are complete, reliable, and timely • Good ability to explain differences between performance and the targets and to identify remediation measures and lessons learned for subsequent projects

Monitoring and Quality Assurance	Notes
1. Describe how the organization monitors its work and results.	
2. Does the organization have adequate policies and procedures for the organization to have a good sense of how it is doing and what it is accomplishing?	
3. Does the organization consistently set realistic targets and quantitative and qualitative performance indicators?	
4. Do staff have sufficient expertise in baseline data collection and monitoring?	
5. Are project monitoring data consistently timely and reliable? Are gaps between performance and targets adequately analyzed?	
6. Are monitoring data used to design effective remediation measures?	
7. Have lessons learned from monitoring been incorporated into the design of subsequent projects?	

6.2 Project and Program Evaluation

Subsection Objectives: Review the organization's ability to conduct objective internal evaluations of project strategies, approaches, outcomes and impacts or to organize, manage, and use external evaluations

Resources: Project and program evaluation plans, evaluation tools, evaluation reports, staff and stakeholder surveys or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
6.2 Project and Program Evaluation 	Policies and procedures for evaluation are - Not written - Written, but not followed The organization has - Inadequate ability to prepare a scope of work for an evaluation of approaches, performance, and results - Inadequate ability to provide support and documentation for evaluators - Inadequate ability to review evaluation data quality and reports - Inadequate ability to address evaluation findings and recommendations in existing and new projects	Written policies and procedures for evaluation are - Weak and require significant changes - Not usually applied The organization has - Weak ability to prepare a scope of work for an evaluation of approaches, performance, and results - Weak ability to provide support and documentation for evaluators - Weak ability to review evaluation data quality and reports - Weak ability to address evaluation findings and recommendations in existing and new projects	Written policies and procedures for evaluation are - Adequate, but may require some updating - Usually applied The organization has - Adequate ability to prepare a scope of work for an evaluation of approaches, performance, and results - Adequate ability to provide support and documentation for evaluators - Adequate ability to review evaluation data quality and reports - Adequate ability to address evaluation findings and recommendations in existing and new projects	Written policies and procedures for evaluation are - Good - Consistently applied The organization has - Good ability to prepare a scope of work for an evaluation of approaches, performance, and results - Good ability to provide support and documentation for evaluators - Good ability to review evaluation data quality and reports - Good ability to address evaluation findings and recommendations in existing and new projects

Project and Program Evaluation	Notes
1. Does the organization have evaluations of its projects and programs? If so, how often? Were the evaluations internal or external? Describe some recent examples of how evaluations were conducted.	
2. Do staff have sufficient expertise to draft a scope of work, help guide data collection and analysis, and provide adequate project documentation? Are baseline data and performance targets generally available?	
3. Are evaluation findings shared widely within the organization?	
4. Do staff have a good ability to review the quality of evaluations and address the findings and recommendations in existing and new programs and projects?	

6.3 Service Delivery Standards

Subsection Objectives: Determine whether the organization has adopted any recognized standards for service delivery and has the ability to apply and monitor the standards.

Resources: International, national, or sectoral standards for service delivery, monitoring reports, evaluations, assessments by standard-setting entities, senior manager questionnaires and interviews, certifications from organizations assessing standards

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
6.3 Service Delivery Standards and Quality Assurance	The organization has - Not adopted recognized, international, national, or sectoral standards for service delivery - Inadequate or no internal standards for service delivery - Not trained staff on service delivery standards and ways to achieve them - Service standards that are not applied and monitored	The organization has - Adopted recognized, international, national, or sectoral standards for service delivery - Weak internal standards for service delivery - Not adequately trained relevant staff on service delivery standards and ways to achieve them - Service standards that are not adequately applied or monitored	The organization has - Adopted recognized, international, national, or sectoral standards for service delivery - Adequate internal standards for service delivery that may need some updating - Adequately trained relevant staff on service delivery standards and ways to achieve them - Service standards that are usually applied and monitored	The organization has - Adopted recognized, international, national, or sectoral standards for service delivery - Good internal standards for service delivery that are regularly reviewed and revised as needed - Regularly trained relevant staff on service standards and ways to achieve them - Service standards that are consistently applied and monitored

Service Delivery Standards	Notes
1. Has the organization adopted recognized, international, national, or sectoral standards for service delivery? If so, which standards?	
2. Does the organization have good internal standards for service delivery? If yes, describe the standards.	
3. Are the internal service delivery standards revised as needed? When were they last revised?	
4. Have relevant staff been trained on the standards and how to achieve them? How often are they trained? When was the last staff training on service delivery standards?	
5. Are the service delivery standards consistently applied?	
6. Are the standards consistently monitored?	

6.4 Field Support, Operations, and Oversight

(Skip if there are no field offices or field operations)

Subsection Objectives: Assess the organization's systems for management and oversight of field offices and operations

Resources: Policy and procedures manuals, records of communications with field staff, field visit reports, monitoring reports, evaluations

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
6.4 Field Support, Operations, and Oversight 	The organization has - No field offices or operations - No written procedures and processes for field support, operations, and oversight - Written procedures for field support, operations, and oversight that are not applied - Field offices or operations that do not submit annual workplans, budgets, and financial and progress reports for headquarters review - A head office that provides inadequate administrative and technical support and oversight to the field - Field site visits that are infrequent, irregularly scheduled, or too short	The organization has field offices or operations and - Weak written procedures and processes for field support, operations, and oversight - Procedures for field support, operations, and oversight that are not usually applied - Field offices or operations that submit annual workplans, budgets, and financial and progress reports for headquarters review, but receive inadequate feedback - A head office that provides weak administrative and technical support and oversight to the field - An insufficient frequency or duration of regular field site visits	The organization has field offices or operations and - Adequate written procedures and processes for field support, operations, and oversight that may need some updating - Procedures for field support, operations, and oversight that are usually applied - Field offices or operations that submit annual workplans, budgets, and financial and progress reports for headquarters review and receive adequate feedback - A head office that provides adequate administrative and technical support and oversight to the field - An adequate frequency and duration of regular field site visits	The organization has - Good written procedures and processes for field support, operations, and oversight - Procedures for field support, operations, and oversight that are consistently applied - Field offices or operations that submit annual workplans, budgets, and financial and progress reports for headquarters review and receive good feedback - A head office that provides good administrative and technical support and oversight to the field - A good frequency and duration of regular field site visits

Field Support, Operations, and Oversight	Notes
1. Does the organization have field offices or field operations?	
2. What governs the operations of field offices? Are there policies and procedures on field support, operations, and oversight, and are they consistently followed?	
3. Describe the relationship between headquarters and field offices.	
4. Do field offices submit workplans, budgets, and periodic progress reports? Does the head office consistently provide timely and good feedback on them?	
5. Does the head office provide good administrative and technical support to the field?	
6. How often are field site visits done? How long are field site visits on average? How could they be improved?	
7. How does the head office track the compliance of field offices and operations with administrative requirements? How effective has this oversight been?	
8. What changes might be useful in oversight of field programs and projects?	

6.5 Project Performance (past 3 years)

Subsection Objectives: Assess the organization's ability to carry out its programs efficiently, effectively, and sustainably

Resources: Program and project evaluations, donor and government funder performance ratings and references, client (beneficiary) satisfaction surveys, questionnaires and interviews with donors, government agencies, clients, senior managers and staff, spreadsheet with percent of project targets achieved over past 3 years

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
6.5 Project Performance 	Over the past 3 years, the organization has • Not received donor or government funding • Received donor or government funding, but received low performance ratings or references (1 or 2 on a scale of 5) • Received low satisfaction ratings from clients or beneficiaries (1 or 2 on a scale of 5) • Met less than 70% of project output targets on time • Met less than 60% of project results targets • Not scaled up the geographic coverage or scope of its programs	Over the past 3 years, the organization has • Received average performance ratings or references from donors and government funders (3 on a scale of 5) • Received average performance ratings or references from clients or beneficiaries (3 on a scale of 5) • Met at least 70% of project output targets on time • Met at least 60% of project results targets • Not significantly scaled up the geographic coverage or scope of its programs	Over the past 3 years, the organization has • Received above average performance ratings or references from donors and government funders (4 on a scale of 5) • Received above average performance ratings or references from clients or beneficiaries (4 on a scale of 5) • Met 80% of project output targets on time • Met at least 70% of project results targets • Significantly scaled up the geographic coverage or scope of its programs	Over the past 3 years, the organization has • Received outstanding performance ratings or references from donors and government funders (5 on a scale of 5) • Received outstanding performance ratings or references from clients or beneficiaries (5 on a scale of 5) • Met at least 90% of project output targets on time • Met at least 80% of project results targets • Substantially scaled up the geographic coverage or scope of its programs

Project Performance (past 3 years)	Notes
1. On a scale of 1 to 5 (5 is best), how have donors and government funders rated the programs or projects of the organization? (Use numerical ratings or convert words into numbers.) Describe the evidence supporting this rating.	
2. On a scale of 1 to 5 (5 is best), what is the average satisfaction rating of clients (beneficiaries)? (Use numerical ratings or convert words into numbers.) What have clients said about the organization and its work?	
3. On average, what percent of project output targets have been met on time and on budget?	
4. On average, what percent of project results targets have been met on time?	
5. What are the organization's strengths in programs and projects that it is most proud of? How can the organization build on these strengths? What areas of project performance need improvement? How can the performance weaknesses be improved?	
6. Has the organization expanded its programs into new geographic areas? Has it expanded the types of activities and services? If so, how well has the expansion worked and what lessons were learned? Is further expansion planned?	

7. Organizational Management and Sustainability

Section Objectives: Assess the organization’s ability to do effective strategic planning, use annual workplans, manage change; generate and share knowledge and develop linkages, achieve financial sustainability; and foster effective internal communications and decision making

Important Participants: Board; chief executive (director); senior managers; managers and staff of program, fundraising, communications, and monitoring and evaluation units; consultants involved in organizational development strategic planning, fundraising, and change management

Names and Positions of Participants from the Organization: _____

Names and Positions of External Facilitators: _____

7.1 Strategic Planning (Business Planning)

Subsection Objectives: Assess the organization's ability to review its organizational strengths, weaknesses, opportunities, and threats; the external environment and competition; and stakeholder needs in preparing and using an effective strategic plan (business plan)

Resources: Strategic plans (business plans); annual reports; questionnaires and interviews with board, senior managers, and staff

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
7.1 Strategic Planning (Business Planning) 	The strategic plan (business plan) is • Not written • Written, but dated or inadequate and requires substantial changes • Not based on an analysis of strengths, weaknesses, opportunities, threats, and realistic resource requirements and availability • Does not reflect client priorities • Not clear and specific on priorities and lacks measurable objectives and targets • Not regularly reviewed • Not used for management decisions or operational planning	The strategic plan (business plan) is written and • Weak and requires significant changes • Does not reflect its current vision, mission, and values • Not based on an adequate analysis of strengths, weaknesses, opportunities, threats, and realistic resource requirements and availability • Does not usually reflect client priorities • Partly clear and specific on priorities with some measurable objectives and targets • Occasionally reviewed • Not usually used for management decisions or operational planning	The strategic plan (business plan) is written and • Adequate, but may require some updating • A reflection of its current vision, mission, and values • Based on an adequate analysis of strengths, weaknesses, opportunities, threats, and realistic resource requirements and availability • Reflects client priorities • Reasonably clear and specific on priorities, measurable objectives, and targets • Periodically reviewed • Usually used for management decisions or operational planning	The strategic plan (business plan) is written and • Good and regularly updated • A reflection of its current vision, mission, and values • Based on a good analysis of strengths, weaknesses, opportunities, threats, stakeholder needs, realistic resource requirements and availability • Reflects client priorities • Clear and specific on priorities, measurable objectives, and targets • Regularly reviewed • Consistently used for management decisions or operational planning

Strategic Planning (Business Planning)	Notes
1. Does the organization have a good, written strategic plan (business plan)? What time period does it cover?	
2. How did you develop the strategic plan (business plan)? Is the strategic plan based on a comprehensive review of strengths, weaknesses, opportunities, and threats; and realistic resource requirements and availability?	
3. Is the strategic plan well connected to client priorities?	
4. Is the strategic plan clear and specific on priorities, measurable objectives, and targets?	
5. Is the strategic plan regularly reviewed? When was it last revised?	
6. Is the strategic plan consistently used in guiding management decisions and operational planning?	

7.2 Annual Workplans

Subsection Objectives: Assess the organization's ability to prepare, follow, and monitor annual workplans containing goals, measurable objectives, strategies, timelines, and responsibilities

Resources: Annual program and project workplans, reviews of workplan progress, questionnaires and interviews of senior managers and donors

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
7.2 Annual Workplans	Annual workplans - Have not been prepared - Have been prepared, but are inadequate - Not timely - Not linked to program or project budgets - Lacking clear and measureable goals, activities, timelines, responsibilities, performance indicators, or targets - Not prepared with significant staff participation - Not used for management decisions, operational planning, and monitoring progress - Not modified as needed	Annual workplans are prepared and are - Weak, incomplete, or require substantial external assistance - Not usually timely - Not well linked to program or project budgets - Needing significant revisions in goals, activities, timelines, responsibilities, or performance indicators and targets - Not prepared with broad staff participation - Not usually used for management decisions, operational planning, and monitoring progress - Modified without required donor approvals	Annual workplans are prepared and are - Adequate without external assistance, but may need minor improvements - Usually timely - Linked to program or project budgets - Containing adequate goals, activities, timelines, responsibilities, or performance indicators and targets - Prepared with significant staff participation - Usually used for management decisions, or operational planning, and monitoring progress - Modified with required donor approvals	Annual workplans are prepared and are - Good without external assistance - Consistently timely - Integrated with program or project budgets - Containing good goals, activities, timelines, responsibilities, or performance indicators and targets - Prepared with broad staff participation - Consistently used for management decisions, or operational planning, and monitoring progress - Modified with required donor approvals

Workplan Development	Notes
1. Describe how the organization produces annual workplans. Who is involved in developing annual workplans? Are the annual workplans timely? Are workplans modified as needed, with donor approval as required?	
2. Do annual workplans contain clear and specific goals, activities, timelines, responsibilities, or performance indicators and targets?	
3. Are the workplans linked to the program budget?	
4. How are annual workplans used (e.g., management decisions, operational planning, monitoring and evaluation)? How often are workplans monitored?	

7.3 Change Management

Subsection Objectives: Assess the organization's ability to respond to change in the internal and external environment

Resources: Policies, processes, and plans for change management; schedule for reviewing policies; response to issues identified in the NUPAS or previous OCAs; and questionnaires or interviews of senior managers, staff, and donors

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
7.3 Change Management 	The organization has - No process or structures for responding to changes in leadership, staffing, budgets, government policies, and donor funding levels and priorities - Not demonstrated the ability to identify and adapt to changes in internal and external environments - Not responded to issues identified in the NUPAS and previous capacity assessments - Experienced substantial setbacks, problems, or delays in response to changes - Management that does not assess staff comfort levels with changes - No system for monitoring whether changes are implemented and their positive and negative effects	The organization has - Weak processes or structures for responding to changes in leadership, staffing, budgets, government policies, and donor funding levels and priorities - Demonstrated little capacity to identify and adapt to changes in internal and external environments - Only partly responded to issues identified in the NUPAS and previous capacity assessments - Experienced significant setbacks, problems, or delays in response to changes - Management that does not usually assess staff comfort levels with changes - A weak system for monitoring whether changes are implemented and their positive and negative effects	The organization has - Adequate processes or structures for responding to changes in leadership, staffing, budgets, government policies, and donor funding levels and priorities - Demonstrated adequate capacity to identify and adapt to changes in internal and external environments - Adequately responded to most issues identified in the NUPAS and previous capacity assessments - Experienced moderate setbacks, problems, or delays in response to changes - Management that usually assesses staff comfort levels with changes - An adequate system for monitoring whether changes are implemented and their positive and negative effects	The organization has - Good processes or structures for responding to changes in leadership, staffing, budgets, government policies, and donor funding levels and priorities - Demonstrated good capacity to identify and adapt to changes in internal and external environments - Fully responded to most issues identified in the NUPAS and previous capacity assessments - Experienced few setbacks, problems, or delays in response to changes - Management that consistently assesses staff comfort levels with changes - A good system for monitoring whether changes are implemented and their positive and negative effects

Change Management	Notes
1. Have major changes in leadership, staffing, budgets, government policies, and donor funding occurred in the last 3 years? How did the organization respond to these changes?	
2. Has the organization demonstrated a good capacity to identify and adapt to changes in the internal and external environment? Give examples.	
3. Has the organization experienced major setbacks, problems, or delays in response to internal or external changes? What happened and why?	
4. Does management regularly assess staff comfort levels with changes? How?	
5. Is there a good system for monitoring how well changes are implemented and their positive and negative effects? Discuss examples.	

7.4 Knowledge Management and External Linkages

Subsection Objectives: Assess the organization's ability to identify good practices and lessons learned, develop linkages with other organizations and networks to improve the enabling environment, plan sector strategies and approaches, and share knowledge internally and externally

Resources: Reports and presentations on lessons learned; documentation on collaborations with other organizations and networks and participation in public and private sector and donor dialogues; senior manager and staff questionnaires or interviews

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
7.4 Knowledge Management and External Linkages	The organization has • Inadequate or unproven analytical capacity to identify good practices and lessons learned • No systematic approach to documenting, storing, and disseminating program knowledge • Not analyzed and shared good practices and lessons learned internally through a regular process • Not joined any formal networks • Rarely participated in discussions with donors, governments, and civil society organizations on approaches, lessons learned, and good practices • Not presented its approaches and results at external events	The organization has • Weak analytical capacity to identify good practices and lessons learned • Weak systems for documenting, storing, and disseminating program knowledge • Occasionally analyzed and shared good practices and lessons learned internally, but not annually • Joined some formal networks, but has not taken an active role in them • Occasionally participated in discussions with donors, governments, and civil society organizations on approaches, lessons learned, and good practices • Occasionally presented its approaches and results at external events	The organization has • Adequate proven analytical capacity to identify good practices and lessons learned • Adequate systems for documenting, storing, and disseminating program knowledge • Analyzed and shared good practices and lessons learned internally at least once a year • Regularly participated actively in some formal networks, although not in a leadership role • Regularly participated in discussions with donors, governments, and civil society organizations on policies, lessons learned, and good practices • Regularly presented its approaches and results at external events	The organization has • Good proven analytical capacity to identify good practices and lessons learned • Strong systems for documenting, storing, and disseminating program knowledge • Analyzed and shared good practices and lessons learned internally at least twice a year • Frequently participated actively in formal networks and in a leadership role • Frequently and routinely participated in discussions with donors, governments, and civil society organizations on approaches, lessons learned, and good practices • Frequently presented its approaches and results at external events

Knowledge Management and Linkages	Notes
1. How does the organization identify good practices? What are the most important sources of learning?	
2. Does the organization have strong systems for documenting, storing, and disseminating program knowledge? How well do these knowledge management systems work? Who are the users of this information?	
3. Does the organization have a regular internal process for sharing and thinking about good practices and lessons learned? If so, how often is this done?	
4. Is the organization an active member of any formal networks? If so, which ones? What role does the organization play in the network?	
5. Does the organization participate in discussions with donors, governments, and other organizations on approaches, lessons learned, and good practices? If so, how often? Have these discussions been mutually beneficial? Why or why not?	
6. Has the organization taken a key role in leadership or knowledge sharing in networks? How often does it present its approaches and results at external events?	

7.5 Fundraising and New Business Development

Subsection Objectives: Assess the organization's progress toward financial sustainability by reviewing its ability to identify and obtain funding

Resources: Business development (resource mobilization) plan; fundraising history; partnership agreements; cash flow statements and projections; questionnaires and interviews with board, chief executive (director), senior financial managers, and new business development and fundraising managers

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
7.5 Fundraising and New Business Development	The organization has - No written fundraising and new business development plan - A written fundraising and business development plan that is not being implemented - Had frequent cash flow problems or negative net income last year - Only one major funding source - Insufficient funds for existing programs next year - No regular funding from cost recovery, sales, or membership fees - Little absorptive capacity for additional projects - Insufficient unrestricted income and cash reserves to cover 2 months of operating costs without new donor funding - No access to new loans or a line of credit	The organization has - A weak fundraising and new business development plan - Weak implementation of the fundraising and new business development plan - Had occasional cash flow problems, but positive net income last year - Insufficient funds for existing programs next year - Only one major funding source - Insignificant funding from cost recovery, sales, or membership fees - Limited absorptive capacity for additional projects - Unrestricted income and cash reserves to cover 2-3 months of operating costs without new donor funding - No existing line of credit or limited access to new loans	The organization has - An adequate fundraising and new business development plan that may need updating - Satisfactory implementation of the fundraising and new business development plan - Had no significant cash flow problems and positive net income over the last year - Sufficient funds for existing programs next year - At least two major funding sources - Limited funding from cost recovery, sales, or membership fees - Adequate absorptive capacity for additional projects - Unrestricted income and cash reserves to cover 3-6 months of operating costs without new donor funding - Access to new loans, but no existing line of credit	The organization has - A good fundraising and new business development plan that is regularly updated and well implemented - Had no significant cash flow problems and positive net income over the last 2 years - Sufficient funds for existing programs next year - At least three major funding sources - Significant funding from cost recovery, sales, or membership fees - Good absorptive capacity for additional projects - Unrestricted income and cash reserves to cover over 6 months of operating costs without new donor funding - Good access to new loans or an existing line of credit

Fundraising and New Business Development	Notes
1. Describe how the organization raises funds to continue its operations.	
2. Has the organization had any significant cash flow problems over the last two years? When? How serious were the problems? What had to be done?	
3. Did the organization have positive net income in the last two years? How large?	
4. How many major funding sources does the organization have?	
5. Does the organization have significant funding from cost recovery, sale of goods and services, and membership fees?	
6. Does the organization have sufficient financial resources to continue existing programs next year without new donor funding?	
7. Does the organization have good absorptive capacity to implement additional projects?	
8. How much unrestricted income does the organization have? What are the sources of unrestricted income? How large are cash reserves? Without new donor funding, how many months of operations could unrestricted income and cash reserves cover?	
9. Does the organization have access to new loans? Does it have an existing line of credit?	
10. How would the organization weather an unexpected reduction in funding?	

For businesses only:

1. What is the debt-to-assets ratio? What is the debt-to-equity ratio? What is the cash flow- to-debt ratio?	
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7.6 Internal Communications and Decision Making (within the organization)

Subsection Objectives: Assess the effectiveness of the organization's internal communications within and across departments or functions and the decision-making process

Resources: Assessments of internal communications, reports on major organizational planning and program review meetings, organization chart, list of staff participants in board and major management meetings, questionnaires and interviews of senior managers and staff

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
7.6 Internal Communications and Decision Making	The organization has - Poor two-way communications between management and staff - No structured settings to exchange ideas and discuss problems or opportunities - Management rarely listens to or encourages staff ideas - Staff rarely initiating discussions with management and raising challenging issues - Inadequate communications within and across departments or functions - A decision-making process that lacks staff involvement for shared responsibility, ownership, and accountability - Inadequate space and infrastructure to facilitate internal communications	The organization has - Limited two-way communication between management and staff - Few structured settings to exchange ideas and discuss problems or opportunities - Management sometimes listens to staff ideas, but does not actively seek staff input - Staff occasionally initiating discussions with management and raising challenging issues - Weak communications within and across departments or functions - A decision-making process with little staff involvement for shared responsibility, ownership, and accountability - Weak space and infrastructure to facilitate internal communications	The organization has - Adequate two-way communication between management and staff - Occasional structured settings to exchange ideas and discuss problems or opportunities - Management usually listens to staff ideas and periodically seeks staff input - Staff usually initiating discussions with management and raising challenging issues - Adequate communications within and across departments or functions - A decision-making process with some staff involvement for shared responsibility, ownership, and accountability - Adequate space and infrastructure to facilitate internal communications	The organization has - Good two-way communications between management and staff - Regular structured settings to exchange ideas and discuss problems and opportunities - Management consistently listens to staff ideas and seeks staff input - Staff frequently initiating discussions with management and raising challenging issues - Good communications within and across departments or functions - A decision-making process with extensive staff involvement for shared responsibility, ownership, and accountability - Good space and infrastructure to facilitate internal communications
Internal Communications and Decision Making			Notes	

1. Are there good two-way communications between management and staff? Give examples of good and bad communications.	
2. Are there regular structured ways to exchange ideas, discuss problems or opportunities, address administrative or technical issues, and provide staff input? If so, how often? If not, is this needed?	
3. Does the organization have different departments or functions? If so, how good are communications within departments or functions? How good are communications across departments or functions?	
4. Are staff consistently involved in decisionmaking on major issues? Do they feel free to raise challenging issues? Do staff initiate discussions with management?	

7.7 External Communications

Subsection Objectives: Assess the effectiveness of the organization's external communications (media, general public, government, donors, private sector, and civil society organizations)

Resources: External communications policy, website, brochures, public annual reports, publications, social media messaging, questionnaires and interviews of senior managers and staff and target audiences

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
7.7 External Communications 	The organization has - No written strategy for identifying audiences, channels, and materials for external communications - A written external communications strategy that is inadequate or not followed - No capacity for implementing an external communications strategy and overseeing written and oral products - No process for pre-testing external communication messages and materials and monitoring their effectiveness - No templates or style guide for documents and the website - No website or just a placeholder - Little name recognition or a negative reputation with key stakeholders	The organization has - A weak written strategy for identifying audiences, channels, and materials for external communications that requires significant changes - A written external communications strategy that is not usually followed or reviewed - Little capacity for implementing an external communications strategy and overseeing written and oral products - Weak or inconsistent process for pre-testing external communication messages and materials and monitoring their effectiveness - Weak templates or style guides for documents and the website - A weak website - A neutral reputation with key stakeholders	The organization has - An adequate written strategy for identifying audiences, channels, and materials for external communications that may require some updating - A written external communications strategy that is usually followed and periodically reviewed - Adequate capacity for implementing the external communications strategy and overseeing written and oral products - Adequate process for pre-testing external communication messages and materials and monitoring their effectiveness - Adequate templates or style guides for documents and the website - An adequate website - A positive reputation with key stakeholders	The organization has - A good written strategy for identifying audiences, channels, and materials for external communications - A written external communications strategy that is consistently followed - Good capacity for implementing the external communications strategy and overseeing written and oral products - Good process for pre-testing and revising external communication messages and materials and monitoring their effectiveness - Good templates or style guides for documents and the website - An effective website - A strongly positive reputation with key stakeholders

External Communications	Notes
1. Who are the key external audiences for the organization? How does the organization communicate with them?	
2. How are external communication messages determined? What types of communication have been most effective? What types of communication have been least effective?	
3. Does the organization have an effective strategy for external communications? When was it revised last?	
4. Does the organization pre-test external communication messages and materials?	
5. Does the organization have a website? Does it have templates or a style guide for the website and publications?	
6. Does the organization have good name recognition and reputation with donors, government, and clients or beneficiaries? (Discuss each category of stakeholders separately.) Do donors, government, and clients have a good understanding of the organization's programs and results?	

7.8 Advocacy and Influence

(Skip if the organization does not have an advocacy objective)

Subsection Objectives: Assess the strategies and effectiveness of the organization's work on advocacy of policies and issues

Resources: Publications; conferences; social media messaging; changes in national and local government policies, regulations, and laws; changes in donor and regional organization policies and public views; questionnaires and interviews of senior managers, staff, stakeholders, and the general public

	Low Capacity	Basic Capacity	Moderate Capacity	Strong Capacity
	1	2	3	4
7.8 Advocacy and Influence (if applicable) 	The organization has an objective of advocacy on policies and issues and - Has not carried out significant advocacy activities over the past three years - No written plan or strategy for advocacy work or it is not followed - Lacks staffing or skills for effective advocacy - Has not effectively mobilized its clients for advocacy - Has not developed alliances with other stakeholders for advocacy - Has not influenced the formulation or implementation of government policies at the national or local level - Has not influenced donor or regional organization policies - Has not influenced the general public's views	The organization has an objective of advocacy on policies and issues and - Has occasionally carried out significant advocacy activities over the past three years - A weak written plan or strategy for advocacy work - Insufficient number or skills of staff for effective advocacy - Has been weak in mobilizing its clients for advocacy - Has been weak in developing alliances with other stakeholders for advocacy - Has had little influence on the formulation or implementation of government policies at the national or local level - Has had little influence on donor or regional organization policies - Has had little influence on the general public's views	The organization has an objective of advocacy on policies and issues and - Has regularly carried out significant advocacy activities over the past three years - An adequate written plan or strategy for advocacy work - Adequate number and skills of staff for effective advocacy - Has been adequate in mobilizing its clients for advocacy - Has been adequate in developing alliances with other stakeholders for advocacy - Has had some influence on the formulation or implementation of government policies at the national or local level - Has had some influence on donor or regional organization policies - Has had some influence on the general public's views	The organization has an objective of advocacy on policies and issues and - Has regularly carried out significant advocacy activities over the past three years - A good written plan or strategy for advocacy work - Good number and skills of staff for effective advocacy - Has been good in mobilizing its clients for advocacy - Has been good in developing alliances with other stakeholders for advocacy - Has had significant influence on the formulation or implementation of government policies at the national or local level - Has had significant influence on donor or regional organization policies - Has had significant influence on the general public's views

Advocacy and Influence	Notes
1. Does the organization have an objective of advocacy on policies and issues?	
2. Has the organization carried out significant activities in advocacy over the past three years? How often? Discuss examples of the types of activities.	
3. How effective is the organization as an advocate? Give examples.	
4. Has the organization effectively mobilized its clients for advocacy? Explain how.	
5. Has the organization developed alliances with other stakeholders for advocacy? Explain how.	
6. Has the organization influenced the formulation or implementation of government policies at the national or local level? Explain how.	
7. Has the organization influenced donor or regional organization policies? Explain how.	
8. Has the organization influenced the general public's views? Explain how.	

OCA Score Sheet

Section	NUPAS Item Number ★	Sub-Section	NUPAS Score	Scores: OCA #1*	Scores: OCA #2	Scores: OCA #3
1. Governance and legal structure	●	1.1 Vision and mission				
	1.2	1.2 Legal requirements and status ★				
	1.3	1.3 Organizational structure ★				
	1.5	1.4 Board composition and responsibility ★				
	●	1.5 Succession planning				
		Average section 1 score				
2. Financial management and internal control systems	●	2.1 Budgeting				
	2.2	2.2 Accounting system ★				
	2.8	2.3 Internal controls ★				
	2.1	2.4 Bank account management ★				
	2.9	2.5 Financial documentation ★				
	2.11	2.6 Financial statements and reporting ★				
	2.12	2.7 Audit experience ★				
	●	2.8 Cost sharing				
		Average section 2 score				
3. Administration and procurement systems	●	3.1 Operating policies, procedures, and systems				
	●	3.2 Information technology				
	4.4	3.3 Travel policies and procedures ★				
	3.1	3.4 Procurement ★				
	●	3.5 Fixed assets management				
	●	3.6 Branding and marking				
		Average section 3 score				

OCA Score Sheet (p. 2)

Section	NUPAS Item Number	Sub-Section	NUPAS Score	Scores: OCA #1*	Scores: OCA #2	Scores: OCA #3
4. Human resources systems	●	4.1 Adequacy of staffing and job descriptions				
	●	4.2 Recruitment and retention				
	4.1	4.3 Personnel policies ★				
	4.2	4.4 Staff time management and payrolls ★				
	4.3	4.5 Staff and consultant history ★				
	4.1	4.6 Staff salaries and benefits ★				
	4.1	4.7 Staff and contractor supervision and work planning				
	●	4.8 Volunteers and interns				
		Average section 4 score				
5. Program management	●	5.1 Donor compliance requirements				
	3.2	5.2 Sub-award management				
	5.2	5.3 Technical reporting ★				
	●	5.4 Stakeholder involvement				
	●	5.5 Culture and gender issues				
		Average section 5 score				
6. Project performance management	5.2	6.1 Monitoring and quality assurance ★				
	●	6.2 Project and program evaluation				
	●	6.3 Service delivery standards				
	●	6.4 Field support, operations, and oversight				
	●	6.5 Project performance				
		Average section 6 score				

OCA Score Sheet (p. 3)

Section	NUPAS Item Number	Sub-Section	NUPAS Score	Scores: OCA #1*	Scores: OCA #2	Scores: OCA #3
7. Organizational management and sustainability	●	7.1 Strategic (business) planning				
	●	7.2 Annual workplans				
	●	7.3 Change management				
	●	7.4 Knowledge management and external linkages				
	●	7.5 Fundraising and new business development				
	●	7.6 Internal communications and decision making				
	●	7.7 External communications				
	●	7.8 Advocacy and influence				
		Average section 7 score				
		Average OCA score (average of the seven section scores)				

★ In the first OCA, USAID's Non-US Organizations Pre-Award Survey (NUPAS) scores may be used for the corresponding OCA items if no significant changes have occurred since the NUPAS was done.

● Not included in the NUPAS, so the NUPAS score cell has been shaded out.

Recommended Format for an OCA Action Plan

Organization _____

OCA Dates _____

[illegible]

Scale for priorities (1 to 5): 1= High, 5 = Low

Initial priority scores, dates, and responsibilities are assigned in the brainstorming for each subsection, which may involve different participants. After all of the subsections have been completed, the preliminary priority scores, dates, and responsibilities should be reviewed by senior managers for a more holistic view.

Expand rows and columns as needed.

¹The status column is reserved for monitoring action plan implementation.